CFA Level I Mock Exam 5.1 - Mark Scheme

Each question lists the correct choice and the original feedback for all three choices. Source excerpts accompany explanations where PDF text extraction may lose equation layout.

Question 1

To claim compliance with the GIPS standards, a firm is most likely required to:

Correct answer: B

A. have a verification of the firm's claim of compliance performed. - Incorrect

Incorrect Answer Feedback: Incorrect because according to the GIPS standards, once a firm claims compliance with the Standards, they may voluntarily hire an independent third party to perform a verification in order to increase confidence in the firm's claim of compliance. Verification is voluntary, it is not a requirement.

B. initially present a minimum of five years of compliant investment performance. - Correct

Correct Answer Feedback: Correct because according to the GIPS standards, a firm is required to initially present, at a minimum, five years of annual investment performance that is compliant with the GIPS standards. If the firm or the composite has been in existence less than five years, the firm must present performance since the firm's inception or the composite inception date.

C. include all discretionary and non-discretionary fee-paying accounts in its composites. - Incorrect

Incorrect Answer Feedback: Incorrect because according to the GIPS standards, a composite must include all actual, fee- paying, discretionary portfolios managed in accordance with the same investment mandate, objective, or strategy. Composites do not include non-discretionary accounts.

Question 2

Tyler Cowen, CFA, retains all records relating to recommendations to buy or sell a security, but discards all notes that do not lead to a change in recommendations. Cowen's colleague Marie Thomsen, CFA, maintains all her records in electronic form but does not retain hard copies for some of her recommendations. Who has most likely violated the Standard relating to record retention?

Correct answer: A

A. Cowen only - Correct

Correct Answer Feedback: Correct because according to Standard V (C), Record Retention, the retention requirement applies to decisions to buy or sell a security as well as reviews undertaken that do not lead to a change in position.

B. Thomsen only - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard V (C), Record Retention, records may be maintained either in hard copy or electronic form.

C. Both Cowen and Thomsen - Incorrect

Incorrect Answer Feedback: Incorrect because only Cowen violated Standard V (C), Record Retention, as described in the response rationale for the correct answer.

Question 3

Renee Robinson, CFA, an independent contractor, acts as chief compliance officer for multiple firms, where she is responsible for overseeing adherence to security laws, firm policies, and the CFA Institute Standards of Professional Conduct. Robinson works remotely and determines her own hours. Her signed agreement with each firm outlines her responsibilities and discloses the potential conflicts of interest due to having multiple clients in

the same role and industry. Is Robinson most likely in violation of any CFA Institute Standard of Professional Conduct?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because there is no evidence Robinson is in violation of any CFA Standards.

B. Yes, with regard to having multiple clients - Incorrect

Incorrect Answer Feedback: Incorrect because here Robinson did not violate the Standards for having multiple clients because she has fully disclosed any potential conflict of interests. According to Standard VI(A), Disclosure of Conflicts, members and candidates must make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer.

C. Yes, with regard to being an independent contractor - Incorrect

Incorrect Answer Feedback: Incorrect because the Standards allow members to work as independent contractors.

Question 4

Kathy Lau, CFA, is a portfolio manager. After a comprehensive analysis, Lau buys Top Technology Company (TTC) IPO for all her clients for whom the investment is appropriate, including her brother's fee-paying account. Lau does not have beneficial ownership in her brother's account. Has Lau violated the Standards by buying shares for her brother's account?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because according to Standard VI(B), Priority of Transactions, family accounts that are client accounts should be treated like any other firm account and should neither be given special treatment nor be disadvantaged because of the family relationship. In addition, according to Standard VI(A), Avoid or Disclose Conflicts, members and candidates must make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. Members and candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively. Lau should treat her brother's account fee-paying like any other firm account. Therefore, Lau has not violated Standard VI(B) and Standard VI(A).

B. Yes, the Standard relating to disclosure of conflicts - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard VI(A), Avoid or Disclose Conflicts, members and Candidates must make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. Members and Candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively. Lau should treat her brother's fee-paying account like any other firm account. Therefore, Lau has not violated Standard VI(A).

C. Yes, the Standard relating to priority of transactions - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard VI(B), Priority of Transactions, family accounts that are client accounts should be treated like any other firm account and should neither be given special treatment nor be disadvantaged because of the family relationship. Lau should treat her brother's fee-paying account like any other firm account. Therefore, Lau has not violated Standard VI(B).

Question 5

Ekta Prakash, CFA, works as an investment advisor for TXM Investments (TXM). Prakash advises a client to transfer $150,000 from a tax-deferred investment account to TXM's multi-cap fund. Prakash discloses to her client that withdrawals from the tax-deferred account will attract a penalty of $15,000 but assures the client that the

cost can be recovered through better investment returns from TXM's fund. Prakash has violated the Standard(s) relating to:

Correct answer: C

A. only misrepresentation. - Incorrect

Incorrect Answer Feedback: Incorrect because Standard I(C), Misrepresentation, prohibits members and candidates from making any statements that promise or guarantee a specific rate of return on volatile investments. Because the equity-based investment is inherently volatile, and the future return is unpredictable, Prakash's promises about future returns making up for the penalty of withdrawing the funds violates Standard I(C). Trust is the foundation of the investment profession. Investment professionals who make false or misleading statements not only harm investors but also reduce the level of investor confidence in the investment profession and threaten the integrity of the capital markets. Therefore, Prakash has violated Standard I(C). Further, according to Standard III(A), Loyalty, Prudence, and Care prudence requires caution and discretion. The exercise of prudence by investment professionals requires that they act with the care, skill, and diligence that a reasonable person acting in a like capacity and familiar with such matters would use. Acting with care requires members and candidates to act in a prudent and judicious manner in avoiding harm to clients. Prakash causes harm to her client by recommending that the client transfer money from a tax-deferred account to TXM's large-cap fund, a process that will cost the client $15,000 in penalties. Therefore, Prakash also violated Standard III(C).

B. only loyalty, prudence, and care. - Incorrect

Incorrect Answer Feedback: Incorrect because Standard III(A), Loyalty, Prudence, and Care prudence requires caution and discretion. The exercise of prudence by investment professionals requires that they act with the care, skill, and diligence that a reasonable person acting in a like capacity and familiar with such matters would use. Acting with care requires members and candidates to act in a prudent and judicious manner in avoiding harm to clients. Prakash causes harm to her client by recommending that the client transfer money from a tax-deferred account to TXM's large-cap fund, a process that will cost the client $15,000 in penalties. Therefore, Prakash also violated Standard III(C). Further, according to Standard I(C), Misrepresentation, prohibits members and candidates from making any statements that promise or guarantee a specific rate of return on volatile investments. Because the equity-based investment is inherently volatile, and the future return is unpredictable, Prakash's promises about future returns making up for the penalty of withdrawing the funds violates Standard I(C). Trust is the foundation of the investment profession. Investment professionals who make false or misleading statements not only harm investors but also reduce the level of investor confidence in the investment profession and threaten the integrity of the capital markets. Therefore, Prakash has also violated Standard I(C).

C. both misrepresentation and loyalty, prudence, and care. - Correct

Correct Answer Feedback: Correct because Standard I(C), Misrepresentation, prohibits members and candidates from making any statements that promise or guarantee a specific rate of return on volatile investments. Because the equity-based investment is inherently volatile, and the future return is unpredictable, Prakash's promises about future returns making up for the penalty of withdrawing the funds violates Standard I(C). Trust is the foundation of the investment profession. Investment professionals who make false or misleading statements not only harm investors but also reduce the level of investor confidence in the investment profession and threaten the integrity of the capital markets. Therefore, Prakash has violated Standard I(C). Further, according to Standard III(A), Loyalty, Prudence, and Care prudence requires caution and discretion. The exercise of prudence by investment professionals requires that they act with the care, skill, and diligence that a reasonable person acting in a like capacity and familiar with such matters would use. Acting with care requires members and candidates to act in a prudent and judicious manner in avoiding harm to clients. Prakash causes harm to her client by recommending that the client transfer money from a tax-deferred account to TXM's large-cap fund, a process that will cost the client $15,000 in penalties. Therefore, Prakash also violated Standard III(C).

Question 6

According to the GIPS standards, which of the following statements is most accurate? Verification:

Correct answer: C

A. ensures the accuracy of composite presentations. - Incorrect

Incorrect Answer Feedback: Incorrect because according to GIPS standards, verification does not ensure the accuracy of any specific composite presentation.

B. is required to maintain compliance with the GIPS standards. - Incorrect

Incorrect Answer Feedback: Incorrect because according to GIPS standards, once a firm claims compliance with the Standards, they may voluntarily hire an independent third party to perform a verification in order to increase confidence in the firm's claim of compliance. Therefore, verification is not mandatory; merely complying with the GIPS standards is enough for the firm to inform its clients and prospective clients that its performance presentation is in accordance with the GIPS standards.

C. tests whether a firm has complied with composite construction requirements on a firm-wide basis. - Correct

Correct Answer Feedback: Correct because according to GIPS standards, one of the key concepts of the standards is the required use of composites. A composite is an aggregation of one or more portfolios managed according to a similar investment mandate, objective, or strategy. The requirement to create, use and maintain composites is designed to prevent firms from cherry-picking—using the best-performing accounts to represent the performance of an investment strategy. Verification provides assurance on whether the firm's policies and procedures related to composite and pooled fund maintenance, as well as the calculation, presentation, and distribution of performance, have been designed in compliance with the GIPS standards and have been implemented on a firm-wide basis.

Question 7

John Smith, CFA, was hired by the Dunlap Investment Consulting Group to manage equity investments for the Allied Company Defined Benefit Pension Plan. Smith is required to report quarterly performance results to Allied Company's board. Smith owes a primary duty of loyalty, prudence, and care to:

Correct answer: A

A. Allied Company employees. - Correct

Correct Answer Feedback: Correct because according to Standard III(A) Loyalty, Prudence, and Care, when a manager is responsible for the portfolios of pension plans or trusts, the client is not the person or entity who hires the manager but, rather, the beneficiaries of the plan or the trust. Therefore, Smith owes the primary duty of loyalty, prudence and care to the employees of Allied Company who is the client and whose funds are being managed.

B. Dunlap Investment Consulting Group. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(A) Loyalty, Prudence, and Care, Dunlap Investment Consulting Group is not the owner of the funds being managed, even though Dunlap selected John Smith, CFA to manage the Allied Company Defined Benefit Pension Plan. Standard III(A) clarifies that client interests are paramount. A member's or candidate's responsibility to a client includes a duty of loyalty and a duty to exercise reasonable care.

C. The Allied Company Pension Plan Trustees. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(A) Loyalty, Prudence, and Care, Allied Company's board is not the owner of the funds being managed even though Smith is required to provide quarterly performance to the board. Standard III(A) clarifies that client interests are paramount. A member's or candidate's responsibility to a client includes a duty of loyalty and a duty to exercise reasonable care.

Question 8

Shika Agarwal is a Level I candidate in the CFA program. Immediately after taking the exam, Agarwal posts in a social media group for CFA candidates arguing that the move to computer-based testing would have an adverse impact on the quality of the CFA program. She also states how surprised she was that the exam did not have quantitative questions on portfolio management. Has Agarwal violated the Standards?

Correct answer: B

A. No. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard VII(A), Conduct as Participants in CFA Institute Programs, all aspects of the exam, including questions, broad topical areas, and formulas, tested or not tested, are considered confidential until such time as CFA Institute elects to release them publicly. This confidentiality requirement allows CFA Institute to maintain the integrity and rigor of exams for future candidates. Therefore, Agarwal has violated Standard VII(A) by stating that the exam did not have quantitative questions on portfolio management.

B. Yes, by stating that the exam did not have quantitative questions on portfolio management. - Correct

Correct Answer Feedback: Correct because according to Standard VII(A), Conduct as Participants in CFA Institute Programs, all aspects of the exam, including questions, broad topical areas, and formulas, tested or not tested, are considered confidential until such time as CFA Institute elects to release them publicly. This confidentiality requirement allows CFA Institute to maintain the integrity and rigor of exams for future candidates. Therefore, Agarwal has violated Standard VII(A) by stating that the exam did not have quantitative questions on portfolio management.

C. Yes, by arguing that the move to computer-based testing would have an adverse impact on the quality of the CFA program. - Incorrect

Incorrect Answer Feedback: Incorrect because Standard VII(A), Conduct as Participants in CFA Institute Programs, does not cover expressing opinions regarding CFA Institute, the CFA Program, or other CFA Institute programs. Members and candidates are free to disagree and express their disagreement with CFA Institute on its policies, its procedures, or any advocacy positions taken by the organization. When expressing a personal opinion, a candidate is prohibited from disclosing content-specific information, including any actual exam question and the information as to subject matter covered or not covered in the exam. Agarwal does not disclose content-specific information about the exam when arguing that the move to computer-based testing would have an adverse impact on the quality of the CFA program. Therefore, Agarwal has not violated Standard VII(A).

Question 9

Regarding ethical standards in the investment industry, which of the following is most accurate? CFA Institute:

Correct answer: B

A. requires charterholders to engage in their professional communities. - Incorrect

Incorrect Answer Feedback: Incorrect because the CFA institute encourages, but does not require, charterholders to engage in their professional communities.

B. aims to build market integrity by calling for regulations that align the interests of firms and clients. - Correct

Correct Answer Feedback: Correct because the advocacy efforts of CFA Institute aim to build market integrity by calling for regulations that align the interests of firms and clients.

C. promotes the highest standards of ethics, education, and professional excellence for the ultimate benefit of shareholders. - Incorrect

Incorrect Answer Feedback: Incorrect because CFA Institute promotes for the ultimate benefit of society. The mission of CFA Institute is “to lead the investment profession globally, by promoting the highest standards of ethics, education, and professional excellence for the ultimate benefit of society.”

Question 10

Jorge Fernandez, CFA, is an equity analyst at a brokerage company. He suspects his colleague is trading on shares prior to his research reports being distributed to clients. When Fernandez asks his colleague about it, he is told to mind his own business. To comply with the Standard relating to knowledge of law, Fernandez should most likely:

Correct answer: A

A. report his suspicions to his supervisor. - Correct

Correct Answer Feedback: Correct because Standard I(A), Knowledge of the Law, states if a member has reasonable grounds to believe that ongoing activities within a firm are illegal or unethical, the member or candidate must dissociate, or separate, from the activity. When direct discussions with the person committing the violation are unsuccessful, the first step should be to attempt to stop the behavior by bringing it to the attention of the employer through a supervisor or the firm's compliance department.

B. continue to observe his colleague's trades. - Incorrect

Incorrect Answer Feedback: Incorrect because Standard I(A), Knowledge of Law, requires members and candidates to dissociate with illegal and unethical behavior. If Fernandez simply observers his colleague without reporting his suspicions to his supervisor or compliance department, he is not taking the appropriate action and is allowing the suspicious behavior to continue. Inaction combined with continuing association with those involved in illegal or unethical conduct may be construed as participation or assistance in the illegal or unethical behavior.

C. discuss his colleague's trades with other analysts at the firm. - Incorrect

Incorrect Answer Feedback: Incorrect because Standard I(A), Knowledge of Law, requires members and candidates to not knowingly participate or assist in any illegal and unethical behavior. By discussing his colleague's trades with other analysts at the firm, Fernandez is delaying the reporting of the suspicious behavior to his supervisor or the compliance department. As such, Fernandez would effectively be allowing the illegal and unethical behavior to knowingly continue. The first step to avoid assisting in a violation should be to attempt to stop the behavior by bringing it to the attention of the employer through a supervisor or the firm's compliance department.

Question 11

Century Investment Management, Inc., (CIM), promotes Pierre Ash, CFA, to a supervisory position. Ash cannot discharge his supervisory responsibilities because CIM's compliance system is inadequate. Ash declines in writing to accept the supervisory responsibility. Has Ash violated the Standards?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because according to the Standard relating to responsibilities of supervisors, if the member or candidate clearly cannot discharge supervisory responsibilities because of the absence of a compliance system or because of an inadequate compliance system, the member or candidate should decline in writing to accept supervisory responsibility. Therefore, Ash has not violated the Standard by declining in writing. In addition, the Standard relating to loyalty, prudence and care states that members and candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Ash has not violated this Standard because clients are not mentioned in this question.

B. Yes, the Standard relating to loyalty, prudence and care - Incorrect

Incorrect Answer Feedback: Incorrect because the Standard relating to loyalty, prudence and care, has not been violated because there is no reference to clients in the question.

C. Yes, the Standard relating to responsibilities of supervisors - Incorrect

Incorrect Answer Feedback: Incorrect because the Standard relating to responsibilities of supervisors, has not been violated because Ash declined the supervisory role in writing.

Question 12

Maria Perez, CFA, is a portfolio manager for an advisory firm that utilizes external mutual funds. The firm has a committee that selects external funds, using an analytical model to determine their choices. Although Perez has no reason to question the committee's research process, she does not like the committee's choice for a bond fund because it is not appropriate for all her clients. She researches and selects a different bond fund that better meets her clients' needs, but her manager tells her that she is not permitted to make independent fund purchase decisions. She then invests in the fund chosen by the committee for all of her clients. Has Perez most likely violated the Standards?

Correct answer: B

A. No - Incorrect

Incorrect Answer Feedback: Incorrect because Perez has violated Standard III (C), Suitability, as described in the Response Rationale for the correct answer.

B. Yes, the Standard relating to suitability - Correct

Correct Answer Feedback: Correct because Perez has violated Standard III (C), Suitability, since the committee-selected bond fund may not be suitable for all of her clients. Standard III (C) states that when members and candidates are in an advisory relationship with a client, they must: Make a reasonable inquiry into a client's or prospective client's investment experience, risk and return objectives, and financial constraints prior to making any investment recommendation or taking investment action and must reassess and update this information regularly. Determine that an investment is suitable to the client's financial situation and consistent with the client's written objectives, mandates, and constraints before making an investment recommendation or taking investment action. Judge the suitability of investments in the context of the client's total portfolio. By purchasing the bond fund that she feels is inappropriate for all of her clients, Perez has violated this Standard.

C. Yes, the Standard relating to diligence and reasonable basis - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard V (A), Diligence and Reasonable Basis, Perez is allowed to rely on others at her firm to determine which managers the firm selects. If members and candidates rely on secondary or third-party research, they must make reasonable and diligent efforts to determine whether such research is sound. Secondary research is defined as research conducted by someone else in the member's or candidate's firm. Additionally, a member or candidate may rely on others in his or her firm to determine whether secondary or third- party research is sound and use the information in good faith unless the member or candidate has reason to question its validity or the processes and procedures used by those responsible for the research. Perez has not violated this Standard by accepting and acting on the committee decision.

Question 13

Nidhi Mehta, CFA, is a fund manager at XYZ Investments. Mehta's fund delivers excellent returns for the year. A large investor in the fund offers Mehta cash compensation along with free tickets to the opening night of a sold-out opera as a reward for the fund's performance. Firm policy requires employees to inform supervisors about monetary compensation received from clients. Mehta does not inform her supervisor as she only accepts the tickets and not the cash compensation. Has Mehta violated the Standards?

Correct answer: C

A. No - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard IV(B), Additional Compensation Arrangements, members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they obtain written consent from all parties involved. Mehta needs written consent prior from all parties to accepting the tickets.

B. Yes, the Standard relating to fair dealing - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(B), Fair Dealing, members and candidates must deal fairly and objectively with all clients when providing investment analysis, making investment recommendations, taking investment action, or engaging in other professional activities. Mehta has not given any preferential treatment to the client and hence this Standard is not violated.

C. Yes, the Standard relating to additional compensation arrangements - Correct

Correct Answer Feedback: Correct because according to Standard IV(B), Additional Compensation Arrangements, members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they

obtain written consent from all parties involved. Mehta needs written consent prior from all parties to accepting the tickets.

Question 14

Which of the following is a recommended procedure for compliance with the Standard relating to diligence and reasonable basis? Members should encourage their firms to:

Correct answer: C

A. consider the suitability of each investment solely on its own merits. - Incorrect

Incorrect Answer Feedback: Incorrect because according to the recommended procedures for compliance with Standard III (A), Loyalty, Prudence, and Care, when taking investment actions, members and candidates must consider the appropriateness and suitability of the investment relative to the investment's basic characteristics, and the basic characteristics of the total portfolio. Therefore, Standard III (A) does not recommend that members encourage their firms to consider the suitability of each investment solely on its own merits.

B. develop maximum levels of scenario testing of computer-based models used in evaluating financial instruments. - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard V (A), Diligence and Reasonable Basis, members and candidates should encourage their firms to consider the following policies and procedures to support the principles of Standard V(A): Develop detailed, written guidance that establishes minimum levels of scenario testing of all computer-based models used in developing, rating, and evaluating financial instruments. Therefore, Standard V (A) recommends that members encourage their firms to develop minimum levels, not maximum levels, of scenario testing of computer-based models.

C. appoint an individual employee or a group of employees to determine that research reports have a reasonable and adequate basis. - Correct

Correct Answer Feedback: Correct because according to Standard V (A), Diligence and Reasonable Basis, members and candidates should encourage their firms to establish a policy requiring that research reports, credit ratings, and investment recommendations have a basis that can be substantiated as reasonable and adequate. An individual employee (a supervisory analyst) or a group of employees (a review committee) should be appointed to review and approve such items prior to external circulation to determine whether the criteria established in the policy have been met. Therefore, Standard V (A) recommends that members encourage their firms to appoint an individual employee or a group of employees to determine that research reports have a reasonable and adequate basis.

Question 15

Faiza Hassan, CFA, is an equity analyst specializing in social media companies. Recently, she placed a "buy" rating on WeGab Corp. Following her initial report on the company, Hassan's brother has purchased a large amount of WeGab stock. Hassan has no beneficial ownership in her brother's account. Hassan has been asked to write a follow-up report on WeGab because of strong takeover rumors relating to the company. Will Hassan violate the Standards if she writes the follow-up report without disclosing her brother's shareholding in the company?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because Standard VI(A), Avoid or Disclose Conflicts, states that members and candidates must make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. In this case, Hassan has no beneficial ownership in her brother's account so her actions are appropriate as they will not impair her independence and objectivity or interfere with her duties towards her clients. Also, Standard III(A), Loyalty, Prudence and Care, Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests. In this case, there is nothing to suggest that Hassan will do anything to compromise her clients' interests by writing the follow-up report.

B. Yes, the Standard relating to avoid or disclose conflicts - Incorrect

Incorrect Answer Feedback: Incorrect because Standard VI(A), Avoid or Disclose Conflicts, states that Members and Candidates must make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. In this case, Hassan has no beneficial ownership in her brother's account so her actions are appropriate as they have not impaired her independence and objectivity or interfered with her duties towards her clients.

C. Yes, the Standard relating to loyalty, prudence, and care - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(A), Loyalty, Prudence and Care, Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests. In this case, there is nothing to suggest that Hassan will do anything to compromise her clients' interests by writing the follow-up report.

Question 16

Asset owners most likely benefit from a firm being GIPS compliant because it:

Correct answer: B

A. eliminates the need for in-depth due diligence only. - Incorrect

Incorrect Answer Feedback: Incorrect because, the GIPS standards certainly do not eliminate the need for in-depth due diligence on the part of the investor, but compliance with the Standards enhances the credibility of investment management firms that have chosen to undertake this responsibility.

B. facilitates the understanding of the sources of risk and excess return only. - Correct

Correct Answer Feedback: Correct because, where asset owners require their external managers to comply with the GIPS standards, reporting to the oversight body using the same principles facilitates the understanding of the sources of risk and excess return in the funds under supervision. Asset owners provide performance information to their oversight bodies that allows them to make investment decisions and evaluate the performance of the funds under their supervision.

C. both eliminates the need for in-depth due diligence and facilitates the understanding of the sources of risk and excess return. - Incorrect

Incorrect Answer Feedback: Incorrect because, the GIPS standards certainly do not eliminate the need for in-depth due diligence on the part of the investor, but compliance with the Standards enhances the credibility of investment management firms that have chosen to undertake this responsibility.

Question 17

Which of the following policy recommendations is consistent with the Standards?

Recommendation 1	Investment banking personnel should approve any changes in investment recommendations from the research side.
Recommendation 2	Firewalls should separate reporting structures for personnel on the research side and personnel on the investment banking side.
Recommendation 3	Compensation arrangements should link research analyst remuneration directly to investment banking assignments in which analysts may participate as team members.

Correct answer: B

A. Recommendation 1 - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard I (B), Independence and Objectivity, a key element of an enhanced firewall is separate reporting structures for personnel on the research side and personnel on the investment banking side. For example, investment banking personnel should not have any authority to approve, disapprove, or make changes to research reports or recommendations.

B. Recommendation 2 - Correct

Correct Answer Feedback: Correct because according to Standard I (B), Independence and Objectivity, members, candidates, and their firms must adopt and follow perceived best practices in maintaining independence and objectivity in the corporate culture and protecting analysts from undue pressure by their investment banking colleagues. The firewalls traditionally built between these two functions must be managed to minimize conflicts of interest; indeed, enhanced firewall policies may go as far as prohibiting all communications between these groups. A key element of an enhanced firewall is separate reporting structures for personnel on the research side and personnel on the investment banking side.

C. Recommendation 3 - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard I (B), Independence and Objectivity, compensation arrangements should not link analyst remuneration directly to investment banking assignments in which the analyst may participate as a team member.

Question 18

A member receives referral fees for recommending third-party services to clients. Before entering into an agreement with a new client, which of the following must the member disclose to the new client?

Correct answer: C

A. Flat fees only - Incorrect

Incorrect Answer Feedback: Incorrect because members and candidates must disclose the nature of the consideration or benefit and consideration includes all fees, whether paid in cash, in soft dollars, or in kind. Therefore, the member is also required to disclose in kind benefits to the new client.

B. In kind benefits only - Incorrect

Incorrect Answer Feedback: Incorrect because members and candidates must disclose the nature of the consideration or benefit and consideration includes all fees, whether paid in cash, in soft dollars, or in kind. Therefore, the member is also required to disclose flat fees to the new client.

C. Both flat fees and in kind benefits - Correct

Correct Answer Feedback: Correct because members and candidates must disclose the nature of the consideration or benefit—for example, flat fee. Further, consideration includes all fees, whether paid in cash, in soft dollars, or in kind. Therefore, the member is required to disclose both flat fees and in kind benefits to the new client.

Question 19

For a retail client's account to be included in a GIPS-compliant firm's composite, it will most likely be in a composite:

Correct answer: B

A. restricted to retail accounts. - Incorrect

Incorrect Answer Feedback: Incorrect because institutional accounts may be included in a composite with retail accounts if they have a similar investment mandate, objective, or strategy.

B. composed of discretionary accounts. - Correct

Correct Answer Feedback: Correct because a composite must include all actual, fee-paying, discretionary segregated accounts managed in accordance with the same investment mandate, objective, or strategy.

C. with both fee-paying and non-fee-paying accounts. - Incorrect

Incorrect Answer Feedback: Incorrect because non-fee-paying accounts are not required to be in a GIPS- compliant composite.

Question 20

Feng Liu, CFA, is an investment manager. Liu organizes nonviolent demonstrations on weekends to fight climate change. After repeated demonstrations, Liu is arrested and convicted for obstructing public transit which is considered an act of civil disobedience in her country. Has Liu violated the Standards?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because Standard I (D) is not meant to cover legal transgressions resulting from acts of civil disobedience in support of personal beliefs because such conduct does not reflect adversely on the member's professional reputation, integrity, or competence. Therefore, Liu has not violated Standard I(D). Further, Standard IV(A), Loyalty, requires members and candidates to protect the interests of their firm by refraining from any conduct that would injure the firm, deprive it of profit, or deprive it of the member's or candidate's skills and ability. However, this standard is not meant to be a blanket requirement to place employer interests ahead of personal interests in all matters. The standard does not require members and candidates to subordinate important personal and family obligations to their work. Therefore, Liu's act of civil disobedience does not violate Standard IV(A).

B. Yes, Liu has violated the Standard relating to loyalty - Incorrect

Incorrect Answer Feedback: Incorrect because Standard IV(A), Loyalty, requires members and candidates to protect the interests of their firm by refraining from any conduct that would injure the firm, deprive it of profit, or deprive it of the member's or candidate's skills and ability. However, this standard is not meant to be a blanket requirement to place employer interests ahead of personal interests in all matters. The standard does not require members and candidates to subordinate important personal and family obligations to their work. Therefore, Liu's act of civil disobedience does not violate Standard IV(A).

C. Yes, Liu has violated the Standard relating to misconduct - Incorrect

Incorrect Answer Feedback: Incorrect because Standard I (D), Misconduct, is not meant to cover legal transgressions resulting from acts of civil disobedience in support of personal beliefs because such conduct does not reflect adversely on the member's professional reputation, integrity, or competence. Therefore, Liu has not violated Standard I(D).

Question 21

Meghna Shah, CFA, manages a small-cap fund. Applying mosaic theory, Shah concludes that AK Tech (AKT) is overpriced and sells the fund's significant holding in AKT for a profit. Shah is aware that her transaction could impact AKT's price because the position is large enough to require disclosure to stock exchanges. A blog tracking stock exchange news reports Shah's transaction, which leads to 8% decline in AKT's price, causing losses to other investors. Has Shah violated the Standards?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because Standard II(B), Market Manipulation, is not intended to preclude transactions undertaken on legitimate trading strategies based on perceived market inefficiencies. The intent of the action is critical to determining whether it is a violation of this standard. Shah sold her fund's stake in AKT. She is not required to sell small quantities of AKT as long as her transaction does not disadvantage investors in her fund. That AKT declined 8% after a blog reported her transaction cannot be held against her. Therefore, Shah has not violated Standard II(B). Also, according to Standard II(A), Material Nonpublic Information, the analyst may use significant conclusions derived from the analysis of public and nonmaterial nonpublic information as the basis for investment recommendations and decisions even if those conclusions would have been material inside information had they been communicated directly to the analyst by a company. Under the "mosaic theory,"

financial analysts are free to act on this collection, or mosaic, of information without risking violation. Therefore, Shah has also not violated Standard II(A) by applying mosaic theory to sell AKT.

B. Yes, the Standard relating to market manipulation - Incorrect

Incorrect Answer Feedback: Incorrect because Shah did not violate Standard II(B), Market Manipulation, as described in the response rationale for the correct answer.

C. Yes, the Standard relating to material nonpublic information - Incorrect

Incorrect Answer Feedback: Incorrect because Shah did not violate Standard II(A), Material Nonpublic Information, as described in the response rationale for the correct answer.

Question 22

Frank Schneider, CFA, a securities analyst, applies for a new position. In his application, he makes two statements:

Statement 1	I passed all three CFA examinations in three consecutive attempts.
Statement 2	Based on my success in the CFA Program, I have a superior ability to analyze stocks compared to my peers.

Schneider has most likely violated the Standards by making:

Correct answer: B

A. Statement 1 only - Incorrect

Incorrect Answer Feedback: Incorrect because this is not a violation of Standard VII(B), Reference to CFA Institute, the CFA Designation, and the CFA Program. Members may state that they passed the three examinations on their first try as long as this statement is true.

B. Statement 2 only - Correct

Correct Answer Feedback: Correct because Statement 2 links passing the three examinations on the first try with superior ability, which is a violation of Standard VII(B), Reference to CFA Institute, the CFA Designation, and the CFA Program. Members may state that they passed the three examinations on their first try as long as this statement is true, but it must not be linked to performance or imply superior ability.

C. Both Statement 1 and Statement 2 - Incorrect

Incorrect Answer Feedback: Incorrect because Statement 1 is not a violation of Standard VII(B), Reference to CFA Institute, the CFA Designation, and the CFA Program. Members may state that they passed the three examinations on their first try as long as this statement is true.

Question 23

Sue Kim, CFA, a US citizen, works as an analyst for a subsidiary of a US investment firm on a small island that attracts offshore investment accounts. Local securities laws allow insider trading. While having dinner with the CEO of a local company, Kim learns that the firm is in negotiations to be acquired for a significant premium. Would Kim most likely comply with the CFA Institute Standards if she purchased the company's shares for her client accounts?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because Standard II(A) prohibits members or candidates from acting on material nonpublic information no matter if local laws or a compliance department allow it. In the event of conflict between the Code and Standards and local laws, Standard I(A) requires members or candidates to comply with the stricter law, rule, or regulation.

B. Yes, because local laws allow insider trading - Incorrect

Incorrect Answer Feedback: Incorrect because although the local securities laws allow for insider trading, members and candidates are required to follow the stricter of local law or the Code and Standards. In this case, the Code and Standards are stricter than local law and need to be followed by Kim.

C. Yes, if she receives permission from her firm's compliance department - Incorrect

Incorrect Answer Feedback: Incorrect because even if her compliance department would approve this transaction, it is still a violation of the Codes and Standards and should not be acted on by Kim.

Question 24

A member works in a country where there is no regulation relating to investment performance standards. In the absence of any regulatory guidance, the member is required to communicate investment performance information to her clients in accordance with:

Correct answer: B

A. the GIPS standards. - Incorrect

Incorrect Answer Feedback: Incorrect because complying with the GIPS standards is voluntary. Compliance with the GIPS standards is not typically required by legal or regulatory authorities. Therefore, the member is not required to communicate investment performance information to her clients in accordance with the GIPS standards.

B. the Code and Standards. - Correct

Correct Answer Feedback: Correct because Standard III(D), Performance Presentation, for members and candidates who are showing the performance history of the assets they manage, compliance with the GIPS standards is the best method to meet their obligations under Standard III(D). Members and candidates should encourage their firms to comply with the GIPS standards. Clearly then, Standard III(D) does not require a member to comply with the GIPS standards; complying with the GIPS Standards is only encouraged. Also, according to Standard I(A), Knowledge of the Law, members and candidates must understand and comply with all applicable laws, rules, and regulations (including the CFA Institute Code of Ethics and Standards of Professional Conduct) of any government, regulatory organization, licensing agency, or professional association governing their professional activities. Therefore, the member must communicate investment performance information to her clients in accordance with the Code and Standards, especially Standard III(D). If the country where the member works were to have a regulation relating to investment performance standards, the member would be required to follow the stricter of the Standards and the local regulation.

C. stricter of the GIPS standards and the Code and Standards. - Incorrect

Incorrect Answer Feedback: Incorrect because complying with the GIPS standards is voluntary. Compliance with the GIPS standards is not typically required by legal or regulatory authorities. Also, according to Standard I(A), Knowledge of the Law, if applicable law is stricter than the requirements of the Code and Standards, members and candidates must adhere to applicable law; otherwise, they must adhere to the Code and Standards. Because compliance with the GIPS standards is not required under applicable law, the member is not required to communicate investment performance information to her clients in accordance with stricter of the GIPS standards and the Code and Standards.

Question 25

According to the Standard relating to preservation of confidentiality, if local laws require investment personnel to maintain confidentiality, is a member permitted to share confidential client information?

Correct answer: A

A. No - Correct

Correct Answer Feedback: Correct because according to Standard III(E), Preservation of Confidentiality, if applicable law requires members to maintain confidentiality, even if the information concerns illegal activities on the part of the client, members and candidates should not disclose such information.

B. Yes, if the information concerns activities of a former client - Incorrect

Incorrect Answer Feedback: Incorrect because Standard III(E), Preservation of Confidentiality, protects the confidentiality of client information even if the person or entity is no longer a client of the member or candidate. Therefore, members and candidates must continue to maintain the confidentiality of client records even after the client relationship has ended. Therefore, a member is not permitted to share information relating to former clients.

C. Yes, if the information is provided in support of an investigation by the CFA Institute Professional Conduct Program into the member's conduct - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III(E), Preservation of Confidentiality, when permissible under applicable law, members and candidates shall consider the PCP an extension of themselves when requested to provide information about a client in support of a PCP investigation into their own conduct. Therefore, a member can provide information to the PCP only if permissible under applicable law.

Question 26

Which of the following member actions most likely violates the Standard relating to fair dealing?

Correct answer: B

A. Providing premium service levels to clients who pay higher fees - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard III (B), members and candidates may provide more personal, specialized, or in-depth service to clients who are willing to pay for premium services through higher management fees or higher levels of brokerage.

B. Selectively offering different service levels to prospective clients - Correct

Correct Answer Feedback: Correct because according to Standard III (B), Fair Dealing, different service levels should be disclosed to clients and prospective clients and should be available to everyone (i.e., different service levels should not be offered selectively). It is therefore a violation of the Standard to selectively offer the firm's different service levels to prospective clients.

C. Using different communication methods to recommend investments to clients - Incorrect

Incorrect Answer Feedback: Incorrect because Standard III (B) requires investment recommendations to be communicated fairly, but the Standard does not state 'equally' because members and candidates could not possibly reach all clients at exactly the same time—whether by printed mail, telephone (including text messaging), computer (including internet updates and e- mail distribution), facsimile (fax), or wire. Therefore, using different communication methods to recommend investments to clients is permitted.

Question 27

Sara Perkin, CFA, sends a stock recommendation in capsule form to clients and adds that additional information is available upon request. Perkin's colleague, Tom Miller, CFA, uses a return forecasting model which has delivered positive results for his equity fund in each of the last seven years. Miller provides the model output in a marketing brochure and notes: "The fund will continue to deliver a positive return next year." Has the Standard relating to communication with clients and prospective clients been violated?

Correct answer: B

A. No - Incorrect

Incorrect Answer Feedback: Incorrect because Miller violated Standard V (B), Communication with Clients and Prospective Clients, by failing to distinguish fact from opinion, as described in the response rationale for the correct answer.

B. Yes, by Miller - Correct

Correct Answer Feedback: Correct because according to Standard V (B), Communication with Clients and Prospective Clients, members must distinguish between fact and opinion in the presentation of investment analyses and recommendations. Also, in the case of complex quantitative analyses, members and candidates must clearly separate fact from statistical conjecture and should identify the known limitations of an analysis. In this case a model output is just an estimate, so it must not be used misleadingly as a return guarantee.

C. Yes, by Perkin - Incorrect

Incorrect Answer Feedback: Incorrect because according to Standard V (B), Communication with Clients and Prospective Clients, if recommendations are contained in capsule form (such as a recommended stock list), members and candidates should notify clients that additional information and analyses are available from the producer of the report. Perkin did not violate the Standard because she noted that additional information is available by request.

Question 28

An inventory system that reduces average inventory without affecting sales will most likely reduce the:

Correct answer: C

A. quick ratio. - Incorrect

Incorrect Answer Feedback: Incorrect. Quick ratio will increase as the result of an efficient inventory system.

B. inventory turnover. - Incorrect

Incorrect Answer Feedback: Incorrect. Inventory turnover will increase as the result of an efficient inventory system.

C. cash conversion cycle. - Correct

Correct Answer Feedback: Correct. A reduction in inventory will increase the inventory turnover (Cost of goods sold/Average inventory), which means that the days in inventory will be reduced (365/Inventory turnover). This will lead to a reduction in the cash conversion cycle (also called net operating cycle). Cash conversion cycle consists of number of days of inventory and number of days of receivables minus number of days of payables.

Question 29

With respect to fintech, which of the following statements is most accurate?

Correct answer: B

A. Big Data solves the issue of selection bias. - Incorrect

Incorrect Answer Feedback: Incorrect because big Data poses several challenges when it is used in investment analysis, including the quality, volume, and appropriateness of the data. Key issues revolve around the following questions, among others: Does the dataset have selection bias, missing data, or data outliers?

B. A neural network that learns a dataset too precisely may indicate overfitting. - Correct

Correct Answer Feedback: Correct because overfitting occurs when the machine learning (ML) model learns the input and target dataset too precisely. Neural networks can be ML algorithms. The growth in Big Data has provided ML algorithms, such as neural networks, with sufficient data to improve modeling and predictive accuracy, and greater use of ML techniques is now possible.

C. Machine learning algorithms require assumptions on the underlying probability distribution of the data. - Incorrect

Incorrect Answer Feedback: Incorrect because machine learning (ML) involves computer-based techniques that seek to extract knowledge from large amounts of data without making any assumptions on the data's underlying probability distribution.

Question 30

In calculating basic and diluted EPS, if the numerators are the same but the denominators are different, the company:

Correct answer: B

A. split its stock during the year. - Incorrect

Incorrect Answer Feedback: Incorrect because if the number of shares of common stock increases as a result of a stock dividend or stock split, the EPS calculation reflects the change retroactively to the beginning of the period. The denominator is the same for both the basic and diluted EPS calculations.

B. had stock options outstanding at year end. - Correct

Correct Answer Feedback: Correct because the assumed exercise of the stock options would not change net income for the year (or preferred dividends). For calculating EPS, therefore, no change is made to the numerator. However, the denominator would be increased by the incremental number of shares issued as a result of the stock option being exercised.

C. had convertible debt outstanding at year end. - Incorrect

Incorrect Answer Feedback: Incorrect because the numerator is increased by after tax interest on the convertible debt and the denominator is increased by the additional shares that were issued on conversion. Therefore, both the numerator and the denominator will change.

Question 31

Which of the following is most likely a feature of sole proprietorships?

Correct answer: B

A. Existence of a legal identity - Incorrect

Incorrect Answer Feedback: Incorrect because key features of sole proprietorships include the following: No legal identity; considered extension of owner.

B. Operational simplicity and flexibility - Correct

Correct Answer Feedback: Correct because key features of sole proprietorships include the following: Operational simplicity and flexibility.

C. Taxation of business profits as corporate income - Incorrect

Incorrect Answer Feedback: Incorrect because key features of sole proprietorships include the following: Profits from business taxed as personal income.

Question 32

A risky project has an initial cash outflow followed by cash inflows only. If the project's IRR is zero, the project's NPV is most likely:

Correct answer: A

A. negative. - Correct

Correct Answer Feedback: Correct because IRR is the required rate of return for which NPV = 0. If IRR is greater than the required rate of return, then NPV of cash flows discounted at the required rate of return will be greater than zero, not less than zero. The opposite also holds. With an IRR less than the required rate of return (zero), NPV will be less than zero, or negative.

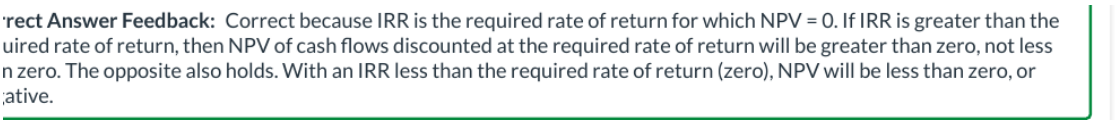


Figure 1: Source equation for question 32, option A

B. zero. - Incorrect

Incorrect Answer Feedback: Incorrect because NPV is negative when the discount rate is higher than the IRR for the given cash flow pattern of the project.

C. positive. - Incorrect

Incorrect Answer Feedback: Incorrect because NPV is negative when the discount rate is higher than the IRR for the given cash flow pattern of the project.

Question 33

Which of the following is a common pitfall in capital allocation analysis?

Correct answer: A

A. Ignoring costs of internal financing - Correct

Correct Answer Feedback: Correct because internally generated capital, such as cash flow from operations, is equity financing because it could be returned to equity investors as a dividend. This pitfall is called “ignoring costs of internal financing”.

B. Performing analysis in nominal terms - Incorrect

Incorrect Answer Feedback: Incorrect because companies may perform analysis in either nominal or real terms, but the approach to cash flows and discount rate should be consistent. C. Incorporating other companies’ potential responses into the analysis

C. Incorporating other companies’ potential responses into the analysis - Incorrect

Incorrect Answer Feedback: Incorrect because companies often fail to incorporate competitor responses into the analysis of a planned investment. Thus, this is not a pitfall but a principle that should be incorporated in the capital allocation analysis.

Question 34

Which of the following best reflects good corporate governance?

Correct answer: C

A. Dual-class share structure - Incorrect

Incorrect Answer Feedback: Incorrect because when economic ownership becomes separated from control, investors can face significant potential risks. Critics of these structures believe they create conflicts of interest between the providers of capital and the management of the business. It is virtually impossible for outside investors to dismantle dual-class structures because of the inherent design of their unequal voting rights.

B. Established brand reputation - Incorrect

Incorrect Answer Feedback: Incorrect because product brand reputation does not point to the quality of corporate governance. Key analyst considerations in corporate governance and stakeholder management include economic ownership and voting control, board of directors representation, remuneration and company performance, investor composition, strength of shareholders' rights, and the management of long-term risks.

C. Diversity, experience, and independence of directors - Correct

Correct Answer Feedback: Correct because most corporate governance codes require that the board include a diverse mix of expertise, backgrounds, and competencies. Such qualifications may include specialized knowledge of the company's industry as well as experience in certain functions, such as strategy, finance/audit, risk management, human resources, or legal. Moreover, many companies seek age, gender, and racial diversity in board composition. Non- executive (or external) directors provide objective decision making, monitoring, and performance assessment. Additionally, non-executive directors can serve an important role in challenging management and using past expertise in strategy and board issues. An independent director is a specific type of non-executive director that does not have a material relationship with the company with regard to employment, ownership, or remuneration.

Question 35

Which of the following disclosures about intangible assets is required under US GAAP?

Correct answer: C

A. Why an asset is considered to have an indefinite life - Incorrect

Incorrect Answer Feedback: Incorrect because this is required under IFRS but not US GAAP. Under IFRS, for each class of intangible assets, why it is considered to have an indefinite life must be disclosed. Under US GAAP, companies are required to disclose the gross carrying amounts and accumulated amortization in total and by major class of intangible assets, the aggregate amortization expense for the period, and the estimated amortization expense for the next five fiscal years.

B. Where amortization is included on the income statement - Incorrect

Incorrect Answer Feedback: Incorrect because this is required under IFRS but not US GAAP. Under IFRS, for each class of intangible assets, a company must disclose where amortization is included on the income statement. Under US GAAP, companies are required to disclose the gross carrying amounts and accumulated amortization in total and by major class of intangible assets, the aggregate amortization expense for the period, and the estimated amortization expense for the next five fiscal years.

C. What the estimated amortization expense for the next five fiscal years will be - Correct

Correct Answer Feedback: Correct because this is required under US GAAP. Under US GAAP, companies are required to disclose the gross carrying amounts and accumulated amortization in total and by major class of intangible assets, the aggregate amortization expense for the period, and the estimated amortization expense for the next five fiscal years.

Question 36

An analyst forecasts the following results for a company:

Net profit margin	18%
Depreciation	$6 million
Decrease in working capital	$1.5 million
Increase in fixed capital	$6 million
Market share	9%

If total industry sales are forecasted to be $3.3 billion and the company has no interest expense, the company's forecasted free cash flow to the firm is closest to:

Correct answer: C

A. $43 million. - Incorrect

Incorrect Answer Feedback: Incorrect because depreciation is subtracted from, rather than added to, net income: 53.5 – 6 – 6 + 1.5 = $43 million.

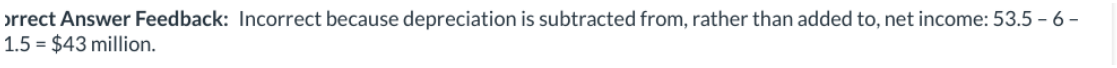


Figure 2: Source equation for question 36, option A

B. $52 million. - Incorrect

Incorrect Answer Feedback: Incorrect because the decrease in working capital is subtracted from, rather than added to, net income: 53.5 + 6 – 6 – 1.5 = $52 million.

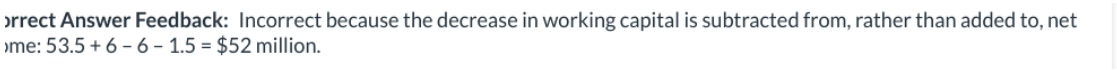


Figure 3: Source equation for question 36, option B

C. $55 million. - Correct

Correct Answer Feedback: Correct because company-level market share projections may be based on historical market share and a forward-looking assessment of the company's competitive position. The company's sales are then estimated as its projected market share multiplied by projected total industry sales. After developing a sales forecast for a company, an analyst can choose among various methods for forecasting income and cash flow. Whatever the margin used, the forecasted amount of profit for a given period is the product of the forecasted amount of sales and the forecast of the selected profit margin. Accordingly, net income is calculated as market share × total industry sales × Net profit margin = 0.09 × 3.3 billion × 0.18 = 53.5 million. FCFF = Net income + Depreciation + Int(1 – Tax rate) – Capital expenditures – Working Capital expenditures; or = 53.5 + 6 – 6 + 1.5 = $55 million.

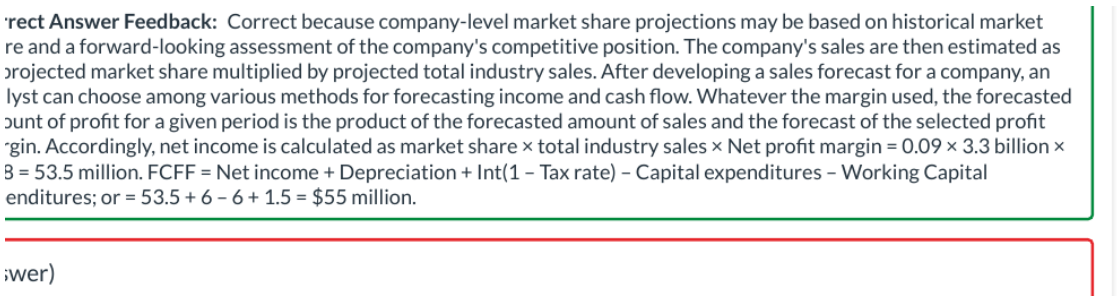


Figure 4: Source equation for question 36, option C

Question 37

Which of the following would best mitigate an analyst's confirmation bias when forecasting a firm's financial statements?

Correct answer: C

A. Speaking with management of the firm - Incorrect

Incorrect Answer Feedback: Incorrect because speaking with management is valuable given their role and should not be excluded from the research process, but analysts must be aware of management's inherent bias and seek differing perspectives. Two approaches to mitigating confirmation bias in the forecasting process are to speak to or read research from analysts with a negative opinion on the security under scrutiny and to seek perspectives from colleagues who are not economically or psychologically invested in the subject security.

B. Ignoring information about the firm's competitors - Incorrect

Incorrect Answer Feedback: Incorrect because the confirmation bias is the tendency to look for and notice what confirms prior beliefs and to ignore or undervalue whatever contradicts them. For example, an analyst might research a particular company but conduct only cursory research on its competitors and companies that offer substitute products.

C. Reading the research from analysts with a negative opinion of the firm - Correct

Correct Answer Feedback: Correct because two approaches to mitigating confirmation bias in the forecasting process are to speak to or read research from analysts with a negative opinion on the security under scrutiny and to seek perspectives from colleagues who are not economically or psychologically invested in the subject security.

Question 38

Because of a problem with the production process, a manufacturer produced a batch of defective finished goods with a total cost of $18,000. The sales value of this batch in its current condition is $6,000. With $3,000 of additional processing, however, the batch could be sold for $11,000. The value of the unsold inventory is closest to:

Correct answer: A

A. $8,000. - Correct

Correct Answer Feedback: Correct. Under IFRS, inventory is carried at the lower of cost and net realizable value (NRV). The NRV is the estimated selling price minute the costs to prepare for sale and to sell. Cost $18,000 NRV calculation Estimated selling price $11,000 Less: Costs to sell $0 Less: Costs to prepare inventory for sale $3,000 NRV $8,000 Lower of cost or NRV $8,000

rect Answer Feedback: Correct. Under IFRS, inventory is carried at the lower of cost and net realizable value (NRV).
NRV is the estimated selling price minute the costs to prepare for sale and to sell.

st		$18,000
V calculation		
stimated selling price	$11,000	
ess: Costs to sell	$0	
ess: Costs to prepare inventory for sale	$3,000	
V		$8,000
wer of cost or NRV		$8,000

Figure 5: Source equation for question 38, option A

B. $9,000. - Incorrect

Incorrect Answer Feedback: Incorrect. It is the current condition of the inventory plus the costs for additional processing: 6000 + 3,000 = 9,000.

rrect Answer Feedback: Incorrect. It is the current condition of the inventory plus the costs for additional processing:
0 + 3,000 = 9,000.

Figure 6: Source equation for question 38, option B

C. $11,000. - Incorrect

Incorrect Answer Feedback: Incorrect. This choice assumes that the company would sell the inventory without further processing for $11,000. This is not a reasonable choice because the benefits of further processing outweigh the costs.

Question 39

A common market has a higher degree of economic integration than a(n):

Correct answer: A

A. customs union. - Correct

Correct Answer Feedback: Correct because a customs union extends the FTA (free trade area) by not only allowing free movement of goods and services among members but also creating a common trade policy against non-members. The common market is the next level of economic integration that incorporates all aspects of the customs union and extends it by allowing free movement of factors of production among members.

B. monetary union. - Incorrect

Incorrect Answer Feedback: Incorrect because if the members of an economic union decide to adopt a common currency, then it is also a monetary union. The monetary union has the highest degree of economic integration among all of the examples mentioned. Therefore, a common market does not have a higher degree of economic integration than a monetary union.

C. economic union. - Incorrect

Incorrect Answer Feedback: Incorrect because an economic union incorporates all aspects of a common market and in addition requires common economic institutions and coordination of economic policies among members. Therefore, a common market does not have a higher degree of economic integration than an economic union.

Question 40

An analyst runs a simple linear regression using 35 months of data to assess a country's short-term interest rate as a function of its inflation rate, with the following results: Source Degrees of Freedom Sum of Squares Mean Square Regression 1 17.3009 17.3009 Error 33 20.2299 0.6130 Total 34 37.5308 — The percentage of the variation in the short-term interest rate that is explained by the inflation rate is closest to:

Correct answer: A

A. 46%. - Correct

Correct Answer Feedback: Correct because the percentage of the variation in the short-term rate that is explained by the inflation rate is the coefficient of determination, computed as sum of squares regression/sum of squares total: 17.3009/37.5308 = 0.461 = 46.1% ≈ 46%.

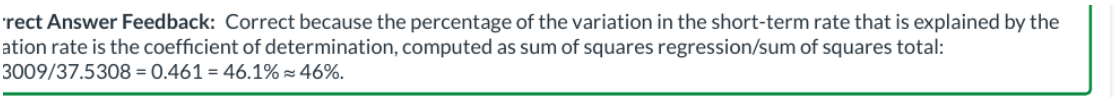


Figure 7: Source equation for question 40, option A

B. 54%. - Incorrect

Incorrect Answer Feedback: Incorrect because it computes the coefficient of determination as sum of squares error/sum of squares total: 20.2299/37.5308 = 0.5390 = 53.9% ≈ 54%.

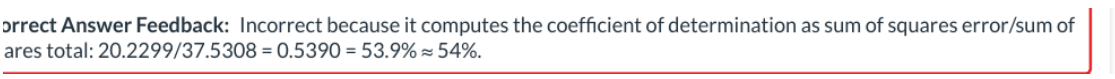


Figure 8: Source equation for question 40, option B

C. 61%. - Incorrect

Incorrect Answer Feedback: Incorrect because it incorrectly considers the coefficient of determination as equal to the mean square error: 0.6130 = 61.30% ≈ 61%.

Question 41

An asset management firm generated the following annual returns in their US large-cap equity portfolio: Year Net Return (%) 2008 –34.8 2009 32.2 2010 11.1 2011 –1.4 The 2012 return needed to achieve a trailing five-year geometric mean annualized return of 5% when calculated at the end of 2012 is closest to:

Correct answer: C

ɔrrect Answer Feedback: Incorrect because it incorrectly considers the coefficient of determination as equal to the mean are error: 0.6130 = 61.30% ≈ 61%.

Figure 9: Source equation for question 40, option C

A. 17.9%. - Incorrect

Incorrect Answer Feedback: Incorrect. This is the return needed in 2012 to result in an arithmetic mean annual return of 5%: (–34.8 + 32.2 + 11.1 + (–1.4) +17.9)/5 = 5.

ɔrrect Answer Feedback: Incorrect. This is the return needed in 2012 to result in an arithmetic mean annual return of (−34.8 + 32.2 + 11.1 + (−1.4) +17.9)/5 = 5.

Figure 10: Source equation for question 41, option A

B. 27.6%. - Incorrect

Incorrect Answer Feedback: Incorrect. This answer is the total compound return that results from compounding 5% over five years: 1.055 = 1.2763 = 27.6%.

ɔrrect Answer Feedback: Incorrect. This answer is the total compound return that results from compounding 5% over years: $1.05^5 = 1.2763 = 27.6\%$.

Figure 11: Source equation for question 41, option B

C. 35.2%. - Correct

Correct Answer Feedback: Correct. Holding period total return (cumulative) factor calculation through 2011: (1 – 0.348) × (1 + 0.322) × (1 + 0.111) × (1 – 0.014) = 0.652 × 1.322 × 1.111 × 0.986 = 0.9442 Compound total return (cumulative) factor at 5% per year of 5% for five years: 1.055 = 1.2763 Return needed in 2012 to achieve a compound annualized return of 5%: 1.2763/0.9442 = 1.3517 = 35.2% Check: 0.944 × 1.352 = 1.276(1/5) = 1.050 = 5% annualized

Question 42

A central bank most likely:

Correct answer: B

A. will not lend money to banks facing shortages. - Incorrect

Incorrect Answer Feedback: Incorrect because most central banks act as a lender of last resort to banks. Because the central bank effectively has the capacity to print money, it is in the position to be able to supply the funds to banks that are facing a damaging shortage.

B. is a monopoly supplier of a country’s currency. - Correct

Correct Answer Feedback: Correct because generally, a central bank is the monopoly supplier of the currency.

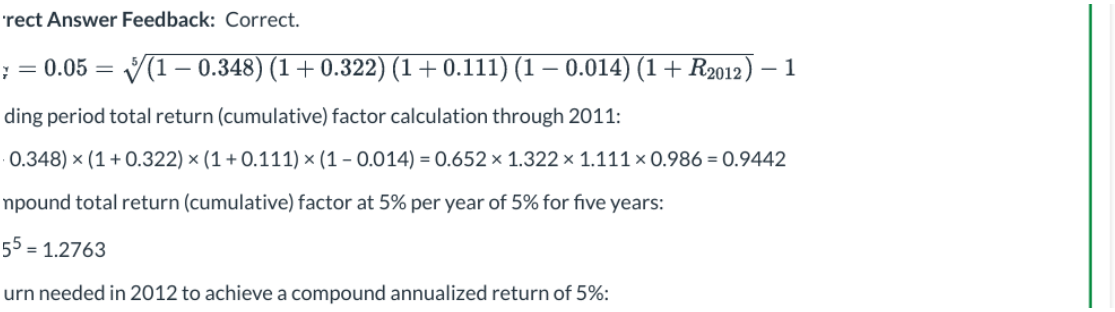


Figure 12: Source equation for question 41, option C



Figure 13: Source equation for question 41, option C

C. does not manage a country's foreign currency reserves. - Incorrect

Incorrect Answer Feedback: Incorrect because most central banks will also be responsible for managing their country's foreign currency reserves.

Question 43

A lessee entering into a long-term lease most likely:

Correct answer: B

A. faces a higher risk of asset obsolescence compared to purchasing the asset with cash. - Incorrect

Incorrect Answer Feedback: Incorrect because leasing an asset reduces, not increases, a lessee's obsolescence risk of a leased asset compared to purchasing the asset. There are several advantages to leasing an asset compared with purchasing it: Convenience and lower risks associated with asset ownership, such as obsolescence.

B. reports a lower total asset turnover in the year of acquisition compared to purchasing the asset with cash. - Correct

Correct Answer Feedback: Correct because under IFRS, there is a single accounting model for both finance and operating leases for lessees. At lease inception, the lessee records a lease payable liability and a "right-of-use" (ROU) asset on its balance sheet, both equal to the present value of future lease payments. This results in higher total assets arising from the creation of the ROU asset and corresponding lease liability, compared to purchasing an asset with an exchange of cash, which does not increase total assets (reduces cash and increases long-lived assets). Total asset turnover = Revenue / Average total assets. While Revenue is not impacted by the lease vs. purchase decision, Average total assets are higher when an asset is leased than purchased with cash, resulting in a lower Total asset turnover.

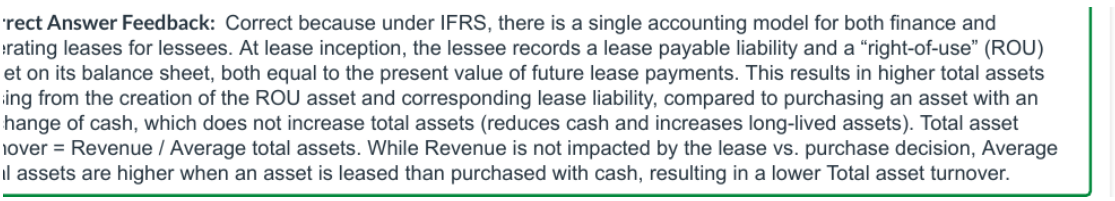


Figure 14: Source equation for question 43, option B

C. reports a greater investing cash outflow in the year of acquisition compared to purchasing the asset with cash. - Incorrect

Incorrect Answer Feedback: Incorrect because there are several advantages to leasing an asset compared with purchasing it: Less cash is needed up front. Leases typically require little, if any, down payment. Purchasing an asset for cash would result in a higher investing cash outflow, a motivation for leasing instead of buying.

Question 44

An analyst gathers the following information about a company:

ROE	6%
ROA	4%
Average total assets	€600,000

Based only on this information, average total liabilities are:

Correct answer: A

A. €200,000. - Correct

Correct Answer Feedback: Correct because ROE = ROA × Leverage. Accordingly, Leverage = ROE / ROA = 6% / 4% = 1.5. In addition, Leverage = Average total assets / Average shareholders' equity = 1.5; or Average shareholders' equity = Average total assets / 1.5; or = €600,000 / 1.5 = €400,000. And, Assets – Liabilities = Owners' equity, therefore, Average total liabilities = Average total assets – Average shareholders' equity; or = €600,000 – €400,000 = €200,000.



Figure 15: Source equation for question 44, option A

B. €300,000. - Incorrect

Incorrect Answer Feedback: Incorrect because it misinterprets the Leverage ratio as Average shareholders' equity / Average total assets. ROE = ROA × Leverage and Leverage = ROE / ROA = 6% / 4% = 1.5. Accordingly, Leverage = Average shareholders' equity / Average total assets = 1.5; or Average shareholders' equity = Average total assets × 1.5 = €600,000 × 1.5 = €900,000. And, Average total liabilities = Average shareholders' equity – Average total assets; or = €900,000 – €600,000 = €300,000.

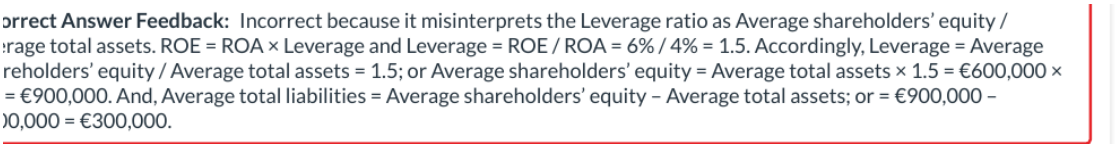


Figure 16: Source equation for question 44, option B

C. €400,000. - Incorrect

Incorrect Answer Feedback: Incorrect because it calculates Average shareholders' equity. ROE = ROA × Leverage. and Leverage = ROE / ROA = 6% / 4% = 1.5. Leverage = Average total assets / Average shareholders' equity = 1.5; or Average shareholders' equity = Average total assets / 1.5; or = €600,000 / 1.5 = €400,000.

Question 45

In contrast to non-probability sampling, probability sampling:

Correct answer: C

rrect Answer Feedback: Incorrect because it calculates Average shareholders' equity. ROE = ROA × Leverage. and erage = ROE / ROA = 6% / 4% = 1.5. Leverage = Average total assets / Average shareholders' equity = 1.5; or Average reholders' equity = Average total assets / 1.5; or = €600,000 / 1.5 = €400,000.

Figure 17: Source equation for question 44, option C

A. depends on factors other than probability considerations. - Incorrect

Incorrect Answer Feedback: Incorrect because in contrast, non-probability sampling (and not probability sampling) depends on factors other than probability considerations, such as a sampler's judgment or the convenience to access data.

B. has a high risk of generating a non-representative sample. - Incorrect

Incorrect Answer Feedback: Incorrect because probability sampling gives every member of the population an equal chance of being selected. Hence it can create a sample that is representative of the population. In contrast, non-probability sampling depends on factors other than probability considerations. Consequently, there is a significant risk that non-probability sampling might generate a non-representative sample.

C. gives every member of the population an equal chance of being selected. - Correct

Correct Answer Feedback: Correct because there are two types of sampling methods: probability sampling and non- probability sampling. Probability sampling gives every member of the population an equal chance of being selected.

Question 46

In which phase of the business cycle is actual output most likely below potential output?

Correct answer: A

A. Recovery - Correct

Correct Answer Feedback: Correct because in the recovery phase actual output is at its lowest level relative to potential output. Economic activity, including consumer and business spending, is below potential but is starting to increase, closing the negative output gap. B. Slowdown

B. Slowdown - Incorrect

Incorrect Answer Feedback: Incorrect because in the slowdown phase the positive output gap starts to narrow but remains positive.

C. Expansion - Incorrect

Incorrect Answer Feedback: Incorrect because in the expansion phase the positive output gap opens.

Question 47

An analyst gathers the following information about a company that uses only common equity and debt in its capital structure:

Cost of debt, estimated by yield to maturity	5.1%
Cost of equity	9.8%
Percent of capital from debt	40.0%

If the company's marginal tax rate is 25%, the WACC is closest to:

Correct answer: B

A. 5.9%. - Incorrect

Incorrect Answer Feedback: Incorrect because it multiplies the cost of equity by 1 minus the tax rate. WACC = w × r × (1 – d d t) + we × re × (1 – t) = 40% × 5.1% × (1 – 25%) + 60% × 9.8% × (1 – 25%) = 5.94% ≈ 5.9%.

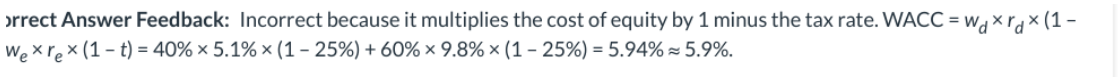


Figure 18: Source equation for question 47, option A

B. 7.4%. - Correct

Correct Answer Feedback: Correct because the WACC = w × r × (1 – t) + w × r = 40% × 5.1% × (1 – 25%) + 60% × 9.8% = d d e e 7.41% ≈ 7.4%.

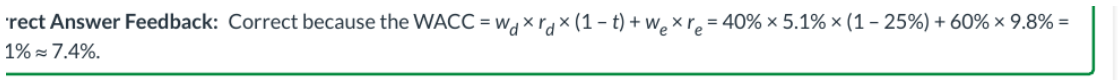


Figure 19: Source equation for question 47, option B

C. 7.9%. - Incorrect

Incorrect Answer Feedback: Incorrect because it uses the pre-tax cost of debt, not the after-tax cost of debt. WACC = w × d rd + we × re = 40% × 5.1% + 60% × 9.8% = 7.92% ≈ 7.9%.

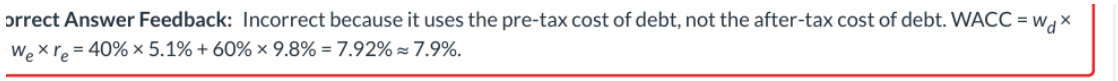


Figure 20: Source equation for question 47, option C

Question 48

The ‘box’ in a box and whisker plot represents the:

Correct answer: A

A. interquartile range. - Correct

Correct Answer Feedback: Correct because a box and whisker plot consists of a ‘box’ with ‘whiskers’ connected to the box. The ‘box’ represents the lower bound of the second quartile and the upper bound of the third quartile, with the median or arithmetic average noted as a measure of central tendency of the entire distribution. Visually, the interquartile range is the height of the box. The interquartile range (IQR) is the difference between the third quartile and the first quartile, or IQR = Q 3 − Q1.

B. range between the median and the arithmetic average. - Incorrect

Incorrect Answer Feedback: Incorrect because a box and whisker plot consists of a ‘box’ with ‘whiskers’ connected to the box. The ‘box’ represents the lower bound of the second quartile and the upper bound of the third quartile, with the median or arithmetic average noted as a measure of central tendency of the entire distribution.

C. range between the highest and lowest values of the distribution. - Incorrect

Incorrect Answer Feedback: Incorrect because a box and whisker plot consists of a ‘box’ with ‘whiskers’ connected to the box. The ‘box’ represents the lower bound of the second quartile and the upper bound of the third quartile, with the median or arithmetic average noted as a measure of central tendency of the entire distribution.

rect Answer Feedback: Correct because a **box and whisker plot** consists of a 'box' with 'whiskers' connected to the box. 'box' represents the lower bound of the second quartile and the upper bound of the third quartile, with the median or hmetic average noted as a measure of central tendency of the entire distribution. Visually, the interquartile range is the ght of the box. The **interquartile range** (IQR) is the difference between the third quartile and the first quartile, or IQR = Q_3 1·

Figure 21: Source equation for question 48, option A

Question 49

An analyst gathers the following information (in £ thousands) about equipment owned by a company:

Carrying amount prior to impairment	36
Fair value	34
Selling costs	4
Undiscounted expected future cash flows	38
Discounted expected future cash flows	32

The equipment is considered impaired under:

Correct answer: A

A. IFRS only. - Correct

Correct Answer Feedback: Correct because the equipment is impaired under IFRS. Under IAS 36, an impairment loss is measured as the excess of carrying amount over the recoverable amount of the asset. The recoverable amount of an asset is defined as 'the higher of its fair value less costs to sell and its value in use.' Value in use is a discounted measure of expected future cash flows. In this case, the carrying amount is £36; and the recoverable amount is £32, which is higher of fair value less costs to sell (34-4=30) and its value in use (32); Therefore, the impairment loss is £4 (36 – 32).

rect Answer Feedback: Correct because the equipment is impaired under IFRS. Under IAS 36, an impairment loss is asured as the excess of carrying amount over the recoverable amount of the asset. The recoverable amount of an asset is ined as 'the higher of its fair value less costs to sell and its value in use.' Value in use is a discounted measure of expected ure cash flows. In this case, the carrying amount is £36; and the recoverable amount is £32, which is higher of fair value costs to sell (34-4=30) and its value in use (32); Therefore, the impairment loss is £4 (36 – 32).

Figure 22: Source equation for question 49, option A

B. US GAAP only. - Incorrect

Incorrect Answer Feedback: Incorrect because the equipment is not impaired under US GAAP. Under US GAAP, assessing recoverability is separate from measuring the impairment loss. An asset's carrying amount is considered not recoverable when it exceeds the undiscounted expected future cash flows. If the asset's carrying amount is considered not recoverable, the impairment loss is measured as the difference between the asset's fair value and carrying amount. In this case, the carrying amount (36) does NOT exceed the undiscounted expected future cash flows (38), so the carrying amount is considered recoverable, so the equipment is not considered impaired.

C. both IFRS and US GAAP. - Incorrect

Incorrect Answer Feedback: Incorrect because the equipment is considered impaired under IFRS and not impaired under US GAAP, as explained above.

Question 50

The reversal of a prior fiscal year inventory write-down is:

Correct answer: B

A. prohibited. - Incorrect

Incorrect Answer Feedback: Incorrect because US GAAP prohibits the reversal of write-downs (whereas IFRS allows it).

B. recognized as a reduction in cost of sales. - Correct

Correct Answer Feedback: Correct because the reversal of any write-down of inventories is recognized as a

C. recognized as an increase in other operating income. - Incorrect

Incorrect Answer Feedback: Incorrect because the reversal of any write-down of inventories is recognized as a reduction in cost of sales (reduction in the amount of inventories recognized as an expense).

Question 51

The structural budget deficit is the deficit that exists if the economy:

Correct answer: B

A. is below full potential output. - Incorrect

Incorrect Answer Feedback: Incorrect because the structural (or cyclically adjusted) budget deficit is defined as the deficit that would exist if the economy was at full employment (or full potential output).

B. is at full potential output. - Correct

Correct Answer Feedback: Correct because the structural (or cyclically adjusted) budget deficit as an indicator of the fiscal stance. This is defined as the deficit that would exist if the economy was at full employment (or full potential output).

C. is above full potential output. - Incorrect

Incorrect Answer Feedback: Incorrect because the structural (or cyclically adjusted) budget deficit is defined as the deficit that would exist if the economy was at full employment (or full potential output).

Question 52

Two populations are normally distributed with unknown variances that are assumed to be equal. If a large independent random sample is drawn from each population, the most appropriate test statistic for testing the difference between the population means is the:

Correct answer: A

A. t-statistic. - Correct

Correct Answer Feedback: Correct because, for tests concerning differences between population means, when we can assume that the two populations are normally distributed and that the unknown population variances are equal, a t-test based on independent random samples is given by t = [(X – X) – (μ – μ)]/√(s 2/n + s 2/n), where (X – X) is the 1 2 1 2 p 1 p 2 1 2 difference between the sample means, (μ – μ) is the hypothesized difference between the population means, s 2 is a pooled 1 2 p estimator of the common variance, and n1 and n2 are the corresponding sample sizes.

rect Answer Feedback: Correct because, for tests concerning differences between population means, when we can ume that the two populations are normally distributed and that the unknown population variances are equal, a *t*-test ed on independent random samples is given by $t = [(X_1 - X_2) - (\mu_1 - \mu_2)]/\sqrt{(s_p^2/n_1 + s_p^2/n_2)}$, where $(X_1 - X_2)$ is the erence between the sample means, $(\mu_1 - \mu_2)$ is the hypothesized difference between the population means, s_p^2 is a pooled mator of the common variance, and n_1 and n_2 are the corresponding sample sizes.

Figure 23: Source equation for question 52, option A

B. z-statistic. - Incorrect

Incorrect Answer Feedback: Incorrect because the t-statistic is used in tests concerning differences between population means. The z-statistic may be used in tests concerning a single mean if the population has a known variance, or the variance is unknown but the sample size is large.

C. F-statistic. - Incorrect

Incorrect Answer Feedback: Incorrect because the t-statistic is used in tests concerning differences between population means. The F-statistic is used in tests concerning differences between population variances.

Question 53

An analyst gathers the following information about a company's 3-year contract to produce computers:

Total sales price	€200,000
Estimated total costs	€100,000
Actual costs incurred in Year 1	€50,000
Total contracted number of computers to be produced	100 units
Total number of computers produced in Year 1	30 units

The output method provides an appropriate measure of progress towards completing the contract and performance obligations are satisfied over time. Assuming it is highly probable that revenue will not be subsequently reversed, revenue recognized in Year 1 is closest to:

Correct answer: A

A. €60,000. - Correct

Correct Answer Feedback: Correct because output method recognizes revenue based on units produced or milestones achieved. The percentage of total production in Year 1 is 30% (30 /100). Therefore, based on the output method, the company would recognize Year 1 revenue of 30% × €200,000 = €60,000.

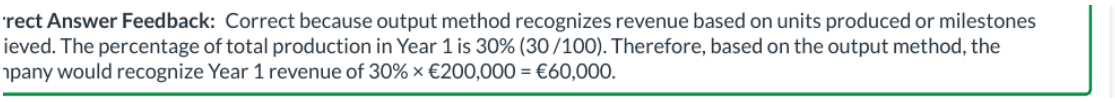


Figure 24: Source equation for question 53, option A

B. €66,667. - Incorrect

Incorrect Answer Feedback: Incorrect because this evenly divides the revenue into three equal parts to correspond to each year of the contract. €200,000/3 ≈ €66,667.

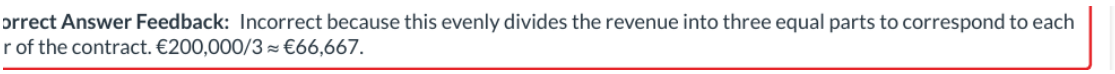


Figure 25: Source equation for question 53, option B

C. €100,000. - Incorrect

Incorrect Answer Feedback: Incorrect because it is calculated using the input method which recognizes revenue based on the proportion of total costs that have been incurred in the period. Accordingly, revenue recognized in Year 1 is €200,000 ×(€50,000 / €100,000)= €100,000.

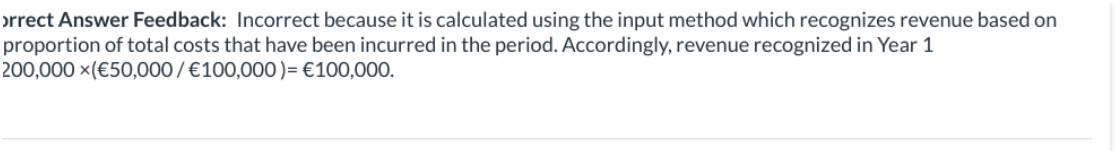


Figure 26: Source equation for question 53, option C

Question 54

An analyst gathers the following USD/GBP exchange rate information:

USD/GBP spot rate	1.11721
USD/GBP 1-year forward rate	1.11851

USD/GBP is the amount of USD per 1 GBP. The 1-year forward points are closest to:

Correct answer: B

A. 1.2. - Incorrect

Incorrect Answer Feedback: Incorrect because it divides the forward rate by the spot rate rather than subtracting and then multiples by 1,000 instead of 10,000: (one year forward rate / spot rate –1) × 1,000 = (1.11851 / 1.11721 – 1) × 1,000 = (1.001164 – 1) × 1,000 ≈ 1.16, which is closest to 1.2.

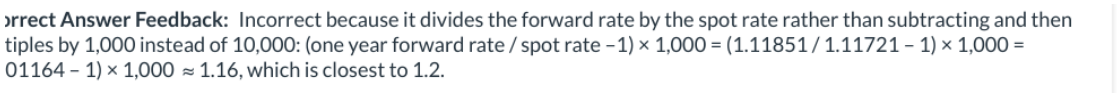


Figure 27: Source equation for question 54, option A

B. 13.0. - Correct

Correct Answer Feedback: Correct because one-year forward points = (one year forward rate – spot rate) × 10,000 = (1.11851 – 1.11721) × 10,000 = 13.0.

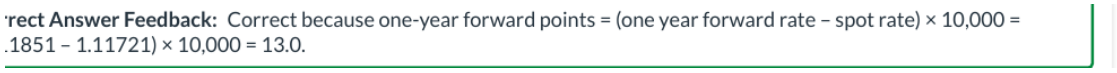


Figure 28: Source equation for question 54, option B

C. 25.0. - Incorrect

Incorrect Answer Feedback: Incorrect because it multiplies the spot rate and the forward rate rather than subtracting the spot rate from the forward rate, then multiples the result by 100 instead of 10,000 = (one year forward rate × spot rate –1) × 100 = (1.11851 × 1.11721 – 1) × 100 ≈ (1.24961 – 1) × 100 ≈ 24.96 ≈ 25.0.

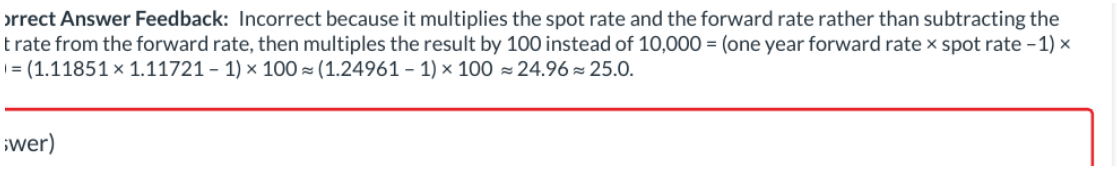


Figure 29: Source equation for question 54, option C

Question 55

Which of the following statements about financial reporting is most accurate?

Correct answer: A

A. Aggressive accounting choices in the current period may decrease the company's future reported earnings - Correct

Correct Answer Feedback: Correct because aggressive accounting choices in the current period may decrease the company's reported performance and financial position in later periods, which creates a sustainability issue.

B. High-quality financial reports contain information that is relevant, complete, conservative, and free from error - Incorrect

Incorrect Answer Feedback: Incorrect because high-quality reports contain information that is relevant, complete, neutral, and free from error.

C. Conservative accounting choices help a company with good performance issue higher quality financial reports - Incorrect

Incorrect Answer Feedback: Incorrect because high-quality financial reports embody the characteristics of decision-useful information, and one of the fundamental characteristics of useful information is faithful representation. Conservative (biased) choices result in financial reports that do not faithfully represent economic phenomena and thus are of lower quality, not higher.

Question 56

A mining company has received government approval for the development of a mining property and has also consulted with members of the local community near the development site throughout the project assessment process. The latter action is best described as an example of:

Correct answer: B

A. regulatory compliance. - Incorrect

Incorrect Answer Feedback: Incorrect because regulations do not necessarily require companies to consult with local communities. In this case, the consultations were taken in addition to meeting all the government/regulatory requirements.

B. stakeholder management. - Correct

Correct Answer Feedback: Correct because stakeholder theory broadens a company's focus beyond the interests of only its shareholders to those of its customers, suppliers, employees, and others who have an interest in the company. The local community is likely a stakeholder in the company's development plans. By identifying the community and understanding its interests, the company is engaging in stakeholder management.

C. principal–agent conflict mitigation. - Incorrect

Incorrect Answer Feedback: Incorrect because the company has not hired the local community as an agent, and the local community has not hired the company as an agent, so any conflict that arises would not be considered principal–agent conflict.

Question 57

Under US GAAP, material income items that are unusual and infrequent are shown as part of:

Correct answer: A

A. continuing operations and presented separately. - Correct

Correct Answer Feedback: Correct because under US GAAP, material items that are unusual or infrequent are shown as part of a company's continuing operations but are presented separately.

B. continuing operations and not presented separately. - Incorrect

Incorrect Answer Feedback: Incorrect because under US GAAP, material items that are unusual or infrequent are shown as part of a company's continuing operations but are presented separately.

C. non-operating activities and not presented separately. - Incorrect

Incorrect Answer Feedback: Incorrect because under US GAAP, material items that are unusual or infrequent are shown as part of a company's continuing operations but are presented separately.

Question 58

A deferred tax liability could arise when:

Correct answer: B

A. interest is received in advance but taxed on a cash basis. - Incorrect

Incorrect Answer Feedback: Incorrect because deferred tax liabilities, which also appear on the balance sheet, arise when a deficit amount is paid for income taxes and the company expects to eliminate the deficit over the course of future operations. In this case, financial accounting income tax expense exceeds income taxes payable. Interest received in advance for tax purposes, must be included in taxable income in the financial year received. Interest received in advance is, for accounting purposed though, included in the financial period in which it is deemed to have been earned. For this reason, the interest income received in advance is a balance sheet liability.

It was not included on the income statement because the income relates to a future financial year. When carrying amount > tax base (of a liability), it results in deferred tax asset (not deferred tax liability).

B. the carrying amount of an asset is higher than its tax base. - Correct

Correct Answer Feedback: Correct because when carrying amount > tax base (of an asset), it results in deferred tax liability.

C. taxable income is higher than accounting profit due to temporary differences. - Incorrect

Incorrect Answer Feedback: Incorrect because deferred tax assets, which appear on the balance sheet, arise when an excess amount is paid for income taxes (taxable income higher than accounting profit) and the company expects to recover the difference during the course of future operations.

Question 59

Using long-term debt or equity to finance working capital needs most likely:

Correct answer: C

A. reduces the cost of financing working capital. - Incorrect

Incorrect Answer Feedback: Incorrect because a conservative approach to working capital management involves more cash, receivables, and inventory relative to sales, with a greater reliance on long-term funding sources, including long-term debt and equity. Among the cons of the conservative approach are long-term debt typically involves a higher interest rate and higher cost of equity, which means the cost of financing working capital increase, not decrease using this approach.

B. provides the opportunity to borrow only as needed. - Incorrect

Incorrect Answer Feedback: Incorrect because one of the cons to a conservative financing (long-term debt or equity) approach is permanent financing eliminates the opportunity to borrow only as needed.

C. reduces the need to access capital markets in times of stress. - Correct

Correct Answer Feedback: Correct because a conservative approach to working capital management involve greater reliance on long-term funding sources, including long-term debt and equity. Further, a conservative working capital strategy reduces the need to access capital during times of market stress.

Question 60

An analyst gathers the following information about a company:

Average variable cost per unit	$12.50
Selling price per unit	$37.50
Total fixed costs	$900,000

The minimum production level needed to continue operations over the long run is most likely:

Correct answer: B

A. 24,000 units. - Incorrect

Incorrect Answer Feedback: Incorrect because in the long run, if a firm cannot earn at least a zero economic profit, it will not operate because it is not covering the opportunity cost of all of its factors of production, labor, and capital. In the long run, if total revenues equal or exceed total costs the firm should stay in the market. At a selling price of $37.50 each unit will cover $12.50 of variable cost, and contribute $25 towards fixed costs. $900,000 of fixed costs divided by this $25 equals 36,000 units. At 36,000 units, all variable and fixed costs are covered by total revenues. If the full selling price of $37.50 is divided into the $900,000 total fixed costs, the result is 24,000 units which is below the minimum production required to continue operations in the long run.

B. 36,000 units. - Correct

Correct Answer Feedback: Correct because in the long run, if a firm cannot earn at least a zero economic profit, it will not operate because it is not covering the opportunity cost of all of its factors of production, labor, and capital. In the long run, if total revenues equal or exceed total costs the firm should stay in the market. At a selling price of $37.50 each unit will cover $12.50 of variable cost, and contribute $25 (contribution margin) towards fixed costs. $900,000 of fixed costs divided by this $25 equals 36,000 units. At 36,000 units, all variable and fixed costs are covered by total revenues.

C. 72,000 units. - Incorrect

Incorrect Answer Feedback: Incorrect because in the long run, if a firm cannot earn at least a zero economic profit, it will not operate because it is not covering the opportunity cost of all of its factors of production, labor, and capital. In the long run, if total revenues equal or exceed total costs the firm should stay in the market. At a selling price of $37.50, each unit will cover $12.50 of variable cost, and contribute $25 (contribution margin) towards fixed costs. $900,000 of fixed costs divided by this $25 equals 36,000 units. At 36,000 units, all variable and fixed costs are covered by total revenues. This is the minimum production level needed for the company to continue production. If the average variable cost of $12.50 is divided into $900,000 the result is 72,000 units.

Question 61

For an analyst estimating a company's target capital structure, which of the following methods is most appropriate?

Correct answer: C

A. Apply the company's current capital structure at book value weights - Incorrect

Incorrect Answer Feedback: Incorrect because book value is used instead of market value. Assume the company's current capital structure, at market value weights for the components, represents the company's target capital structure.

B. Use the average capital structure of a diversified group of companies - Incorrect

Incorrect Answer Feedback: Incorrect because an analyst can use averages of comparable companies' capital structures (not a diversified group) as the target capital structure.

C. Infer the target capital structure by analyzing management statements on capital structure policy - Correct

Correct Answer Feedback: Correct because an analyst can examine trends in the company's capital structure or statements by management regarding capital structure policy to infer the target capital structure.

Question 62

Which of the following statements about kurtosis is most accurate?

Correct answer: C

A. A fat-tailed distribution is referred to as platykurtic. - Incorrect

Incorrect Answer Feedback: Incorrect because a distribution that has fatter tails than the normal distribution is referred to as leptokurtic, not platykurtic.

B. All distributions with kurtosis above zero are fat-tailed. - Incorrect

Incorrect Answer Feedback: Incorrect because a fat-tailed distribution has a kurtosis of above 3. So not all distributions with kurtosis above 0 are fat-tailed.

C. The calculation for kurtosis involves finding the average of deviations from the mean raised to the fourth power. - Correct

Correct Answer Feedback: Correct because the calculation for kurtosis involves finding the average of deviations from the mean raised to the fourth power and then standardizing that average by dividing by the standard deviation raised to the fourth power.

Question 63

An analyst gathers the following information about a company:

	Year 2	Year 1
Revenue	€725,000	€720,000
EBIT	€93,500	€91,500
Net income	€57,500	€58,000
Weighted average common shares outstanding during the year	650,000	635,000

Which of the following increased from Year 1 to Year 2?

Correct answer: B

A. Basic EPS - Incorrect

Incorrect Answer Feedback: Incorrect because Basic EPS = Net income / Weighted average number of ordinary shares outstanding. Year 1 = €58,000 / 635,000 ≈ 0.0913 Year 2 = €57,500 / 650,000 ≈ 0.0885 Accordingly, Basic EPS decreased from Year 1 to Year 2.

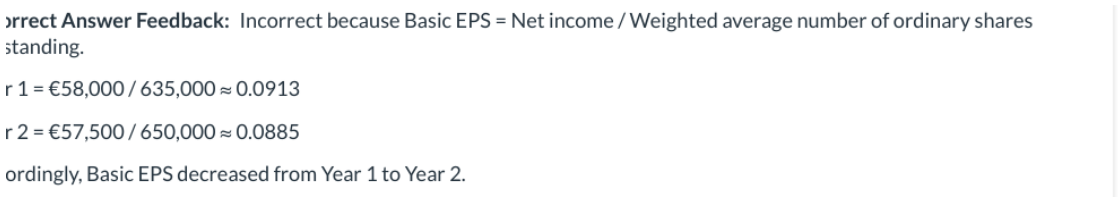


Figure 30: Source equation for question 63, option A

B. EBIT margin - Correct

Correct Answer Feedback: Correct because EBIT margin = EBIT / Total revenues. Year 1 = €91,500 / €720,000 ≈ 12.71% Year 2 = €93,500 / €725,000 ≈ 12.90% Accordingly, EBIT margin increased from Year 1 to Year 2.



Figure 31: Source equation for question 63, option B

C. Net profit margin - Incorrect

Incorrect Answer Feedback: Incorrect because Net profit margin = Net income / Total revenues. Year 1 = €58,000 / €720,000 ≈ 8.06% Year 2 = €57,500 / €725,000 ≈ 7.93% Accordingly, Net profit margin decreased from Year 1 to Year 2.

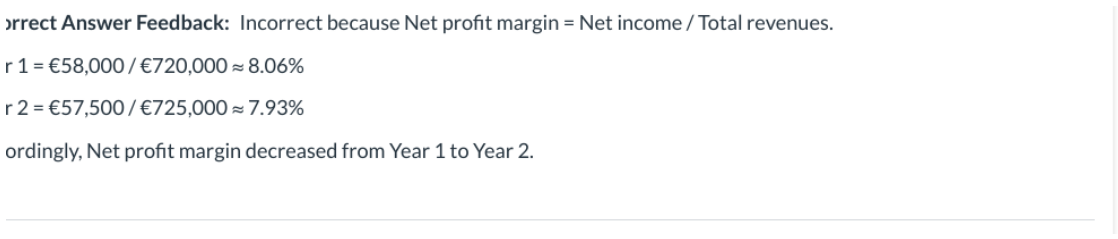


Figure 32: Source equation for question 63, option C

Question 64

Monetary policy:

Correct answer: C

A. aims to redistribute wealth within the economy. - Incorrect

Incorrect Answer Feedback: Incorrect because fiscal policy (not monetary policy) can be used to redistribute income and wealth.

B. adjusts taxation rates to influence growth in the economy. - Incorrect

Incorrect Answer Feedback: Incorrect because fiscal policy refers to the government's decisions about taxation.

C. aims to control the quantity of money and credit in an economy. - Correct

Correct Answer Feedback: Correct because monetary policy refers to central bank activities that are directed toward influencing the quantity of money and credit in an economy.

Question 65

An analyst examines the following quarterly returns for a client's portfolio:

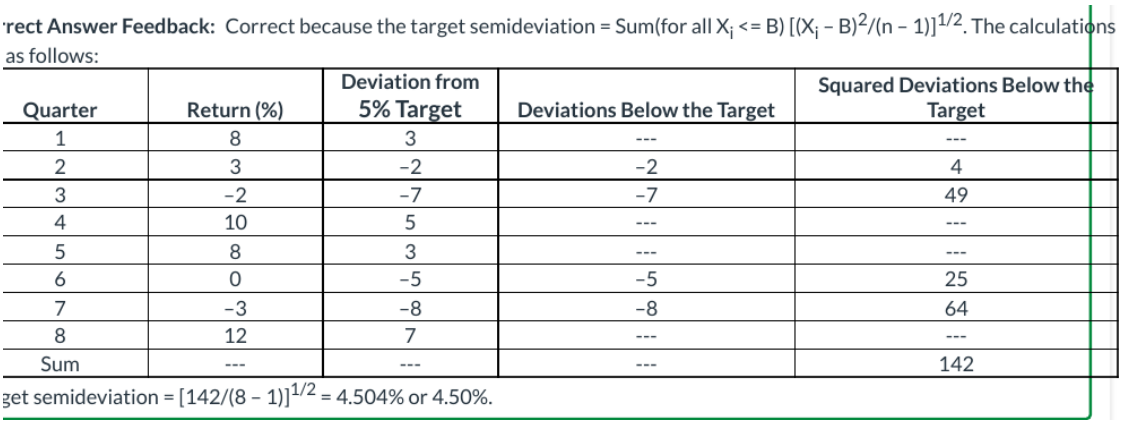
Quarter	Return (%)
1	8
2	3
3	–2
4	10
5	8
6	0
7	–3
8	12

If the target return is 5% per quarter, the target downside deviation is closest to:

Correct answer: A

A. 4.50%. - Correct

Correct Answer Feedback: Correct because the target semideviation = Sum(for all X <= B) [(X – B)2/(n – 1)]1/2. The calculations i i are as follows: Deviation from Squared Deviations Below the Quarter Return (%) 5% Target Deviations Below the Target Target 1 8 3 — — 2 3 –2 –2 4 3 –2 –7 –7 49 4 10 5 — — 5 8 3 — — 6 0 –5 –5 25 7 –3 –8 –8 64 8 12 7 — — Sum — — — 142 Target semideviation = [142/(8 – 1)]1/2 = 4.504% or 4.50%.



rect Answer Feedback: Correct because the target semideviation = Sum(for all X_i <= B) $[(X_i - B)^2/(n - 1)]^{1/2}$. The calculations as follows:

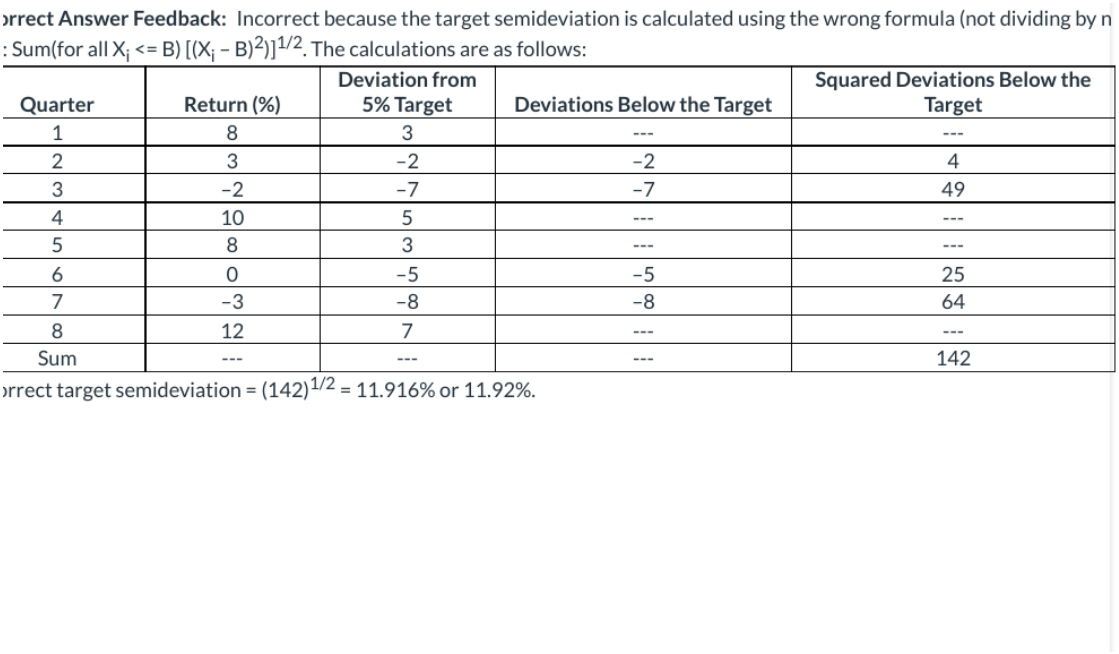
Quarter	Return (%)	Deviation from 5% Target	Deviations Below the Target	Squared Deviations Below the Target
1	8	3	---	---
2	3	–2	–2	4
3	–2	–7	–7	49
4	10	5	---	---
5	8	3	---	---
6	0	–5	–5	25
7	–3	–8	–8	64
8	12	7	---	---
Sum	---	---	---	142

get semideviation = $[142/(8 - 1)]^{1/2}$ = 4.504% or 4.50%.

Figure 33: Source equation for question 65, option A

B. 11.92%. - Incorrect

Incorrect Answer Feedback: Incorrect because the target semideviation is calculated using the wrong formula (not dividing by n – 1): Sum(for all X <= B) [(X – B)2)]1/2. The calculations are as follows: i i Deviation from Squared Deviations Below the Quarter Return (%) 5% Target Deviations Below the Target Target 1 8 3 — — 2 3 –2 –2 4 3 –2 –7 –7 49 4 10 5 — — 5 8 3 — — 6 0 –5 –5 25 7 –3 –8 –8 64 8 12 7 — — Sum — — — 142 Incorrect target semideviation = (142)1/2 = 11.916% or 11.92%.



rrect Answer Feedback: Incorrect because the target semideviation is calculated using the wrong formula (not dividing by n : Sum(for all X_i <= B) $[(X_i - B)^2)]^{1/2}$. The calculations are as follows:

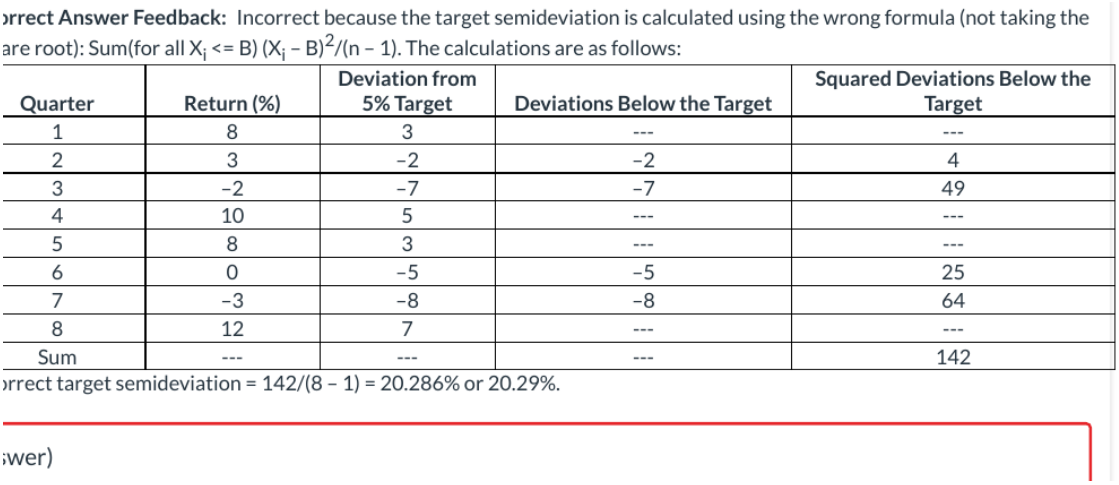
Quarter	Return (%)	Deviation from 5% Target	Deviations Below the Target	Squared Deviations Below the Target
1	8	3	---	---
2	3	–2	–2	4
3	–2	–7	–7	49
4	10	5	---	---
5	8	3	---	---
6	0	–5	–5	25
7	–3	–8	–8	64
8	12	7	---	---
Sum	---	---	---	142

rrect target semideviation = $(142)^{1/2}$ = 11.916% or 11.92%.

Figure 34: Source equation for question 65, option B

C. 20.29%. - Incorrect

Incorrect Answer Feedback: Incorrect because the target semideviation is calculated using the wrong formula (not taking the square root): Sum(for all X <= B) (X – B)2/(n – 1). The calculations are as follows: i i Deviation from Squared Deviations Below the Quarter Return (%) 5% Target Deviations Below the Target Target 1 8 3 — — 2 3 –2 –2 4 3 –2 –7 –7 49 4 10 5 — — 5 8 3 — — 6 0 –5 –5 25 7 –3 –8 –8 64 8 12 7 — — Sum — — — 142 Incorrect target semideviation = 142/(8 – 1) = 20.286% or 20.29%.



rrect Answer Feedback: Incorrect because the target semideviation is calculated using the wrong formula (not taking the are root): Sum(for all X_i <= B) $(X_i - B)^2/(n - 1)$. The calculations are as follows:

Quarter	Return (%)	Deviation from 5% Target	Deviations Below the Target	Squared Deviations Below the Target
1	8	3	---	---
2	3	–2	–2	4
3	–2	–7	–7	49
4	10	5	---	---
5	8	3	---	---
6	0	–5	–5	25
7	–3	–8	–8	64
8	12	7	---	---
Sum	---	---	---	142

rrect target semideviation = 142/(8 – 1) = 20.286% or 20.29%.

swer)

Figure 35: Source equation for question 65, option C

Question 66

An increase in a central bank's policy rate most likely leads to:

Correct answer: C

A. decreasing real domestic demand and increasing net external demand. - Incorrect

Incorrect Answer Feedback: Incorrect because there is a whole range of interconnected ways in which an increase in the central bank's policy rate can reduce real domestic demand and net external demand (that is, the difference between export and import consumption). Therefore, while an increase in the policy rate may lead to decreasing real domestic demand, it will most likely not lead to increasing net external demand.

B. increasing real domestic demand and decreasing net external demand. - Incorrect

Incorrect Answer Feedback: Incorrect because there is a whole range of interconnected ways in which an increase in a central bank's policy rate can reduce real domestic demand and net external demand (that is, the difference between export and import consumption).Therefore, while an increase in the policy rate may lead to decreasing net external demand, it will most likely not lead to increasing real domestic demand.

C. decreasing real domestic demand and decreasing net external demand. - Correct

Correct Answer Feedback: Correct because there is a whole range of interconnected ways in which an increase in a central bank's policy rate can reduce real domestic demand and net external demand (that is, the difference between export and import consumption).

Question 67

If an auditor is experiencing some scope limitation, but can still issue an opinion, the auditor most likely issues a(n):

Correct answer: B

A. adverse opinion. - Incorrect

Incorrect Answer Feedback: Incorrect because an adverse audit opinion is issued when an auditor determines that the financial statements materially depart from accounting standards and are not fairly presented.

B. qualified opinion. - Correct

Correct Answer Feedback: Correct because a qualified audit opinion is one in which there is some scope limitation or exception to accounting standards.

C. disclaimer of opinion. - Incorrect

Incorrect Answer Feedback: Incorrect because a disclaimer of opinion occurs when, for some reason, such as a scope limitation, the auditors are unable to issue an opinion.

Question 68

An account has a stated annual interest rate of 3.6% with monthly compounding. The number of years it will take for an initial investment in the account to double is closest to:

Correct answer: A

A. 19.3. - Correct

Correct Answer Feedback: Correct because with more than one compounding period per year, the future value formula can be expressed as FV = PV[1 + (r/m)]mN where r is the stated annual interest rate, m is the number of compounding periods N s s per year, and N stands for the number of years. Moreover, we can identify r = 0.036 and m = 12, and for the initial investment s to double we must have FVN/PV = 2. Hence, the number of years, N, must satisfy 2 = [1 + (0.036/12)]12N, which can be solved as N = ln(2)/[12 × ln(1.003)] = 19.2830 ≈ 19.3 years.

B. 19.6. - Incorrect

Incorrect Answer Feedback: Incorrect because it neglects the monthly compounding and assumes that 3.6% compounds annually. In this case N must satisfy 2 = 1.036N, or N = ln(2)/ln(1.036) = 19.5986 ≈ 19.6 years.

rect Answer Feedback: Correct because with more than one compounding period per year, the future value formula can expressed as $FV_N = PV[1 + (r_s/m)]^{mN}$ where r_s is the stated annual interest rate, m is the number of compounding periods year, and N stands for the number of years. Moreover, we can identify $r_s = 0.036$ and $m = 12$, and for the initial investment louble we must have $FV_N/PV = 2$. Hence, the number of years, N, must satisfy $2 = [1 + (0.036/12)]^{12N}$, which can be solved $N = \ln(2)/[12 \times \ln(1.003)] = 19.2830 \approx 19.3$ years.

Figure 36: Source equation for question 68, option A

rrect Answer Feedback: Incorrect because it neglects the monthly compounding and assumes that 3.6% compounds ually. In this case N must satisfy $2 = 1.036^N$, or $N = \ln(2)/\ln(1.036) = 19.5986 \approx 19.6$ years.

Figure 37: Source equation for question 68, option B

C. 20.0. - Incorrect

Incorrect Answer Feedback: Incorrect because it ignores the monthly compounding and uses the rule of 72. To quickly approximate the number of periods, practitioners sometimes use an ad hoc rule called the Rule of 72: Divide 72 by the stated interest rate to get the approximate number of years it would take to double an investment at the interest rate. With an interest rate of 3.6% the rule of thumb gives: 72/3.6 = 20 years. However, the Rule of 72 is only an approximation.

rrect Answer Feedback: Incorrect because it ignores the monthly compounding and uses the rule of 72. To quickly roximate the number of periods, practitioners sometimes use an ad hoc rule called the **Rule of 72**: Divide 72 by the stated rest rate to get the approximate number of years it would take to double an investment at the interest rate. With an rest rate of 3.6% the rule of thumb gives: 72/3.6 = 20 years. However, the Rule of 72 is only an approximation.

swer)

Figure 38: Source equation for question 68, option C

Question 69

Whenever Variable X increases by four units, Variable Y increases by one unit. The correlation between X and Y is:

Correct answer: C

A. 0.25. - Incorrect

Incorrect Answer Feedback: Incorrect because X and Y have a perfect positive linear relationship as Y = 0.25X. Here, the correlation is taken as the value of the coefficient on X, which in this case is 0.25.

B. 0.75. - Incorrect

Incorrect Answer Feedback: Incorrect because X and Y have a perfect positive linear relationship as Y = 0.25X. Here, the correlation is taken as the value of 1 minus the coefficient on X, which in this case is 1 – 0.25 = 0.75.

C. 1.00. - Correct

Correct Answer Feedback: Correct because X and Y have a perfect positive linear relationship as Y = 0.25X. The correlation is +1.00. A correlation of 1 indicates a perfect linear relationship.

Question 70

The F-statistic for the test of fit of a simple linear regression is given by the:

Correct answer: A

›rrect Answer Feedback: Incorrect because *X* and *Y* have a perfect positive linear relationship as *Y* = 0.25*X*. Here, the ·elation is taken as the value of the coefficient on *X*, which in this case is 0.25.

Figure 39: Source equation for question 69, option A

›rrect Answer Feedback: Incorrect because *X* and *Y* have a perfect positive linear relationship as *Y* = 0.25*X*. Here, the ·elation is taken as the value of 1 minus the coefficient on *X*, which in this case is 1 – 0.25 = 0.75.

Figure 40: Source equation for question 69, option B

A. mean square regression divided by the mean square error. - Correct

Correct Answer Feedback: Correct because the F-distributed test statistic is constructed by using the sum of squares regression and the sum of squares error, each adjusted for degrees of freedom. In other words, it is the ratio of two variances. The F-distributed test statistic is F = MSR/MSE, where the mean square regression (MSR) is the same as the sum of squares regression and the mean square error (MSE) is the sum of squares error divided by the degrees of freedom.

B. mean square regression divided by the sum of squares total. - Incorrect

Incorrect Answer Feedback: Incorrect because the F-distributed test statistic is F = MSR/MSE, where the MSR = mean square regression and MSE = mean square error. The sum of squares total (SST) does not enter into the F-statistic calculation.

C. sum of squares regression divided by the sum of squares total. - Incorrect

Incorrect Answer Feedback: Incorrect because it describes the coefficient of determination, not the F-statistic. Coefficient of determination = Sum of squares regression/Sum of squares total.

Question 71

An analyst gathers the following information (in € thousands) about a company:

	Year 2	Year 1
Revenue	2,400	2,000
Cost of sales	1,800	1,400
Ending accounts receivable	240	160

The number of days of sales outstanding for Year 2, based on a 365-day year, is closest to:

Correct answer: A

A. 30 days. - Correct

Correct Answer Feedback: Correct because DSO = 365 / accounts receivables turnover; or = 365 / 12 ≈ 30 days, where the receivables turnover = revenue / average receivables; or = 2,400 / [(240 + 160) / 2] = 2,400 / 200 = 12.

B. 33 days. - Incorrect

Incorrect Answer Feedback: Incorrect because it is 365 divided by the ratio of average sales to average receivables; or = 365 / [(2,400 + 2,000) / 2] / [(240 + 160) / 2] = 365 / (2,200 / 200) = 365 / 11 ≈ 33 days.

C. 41 days. - Incorrect

Incorrect Answer Feedback: Incorrect because it is 365 divided by the ratio of cost of sales to average accounts receivable; or = 365 / [1,800 / [(240 + 160) / 2] = 365 / (1,800 / 200) = 365 / 9 ≈ 41 days.

Question 72

With respect to national security, a country focusing on domestic economic factors most likely focuses on:

Correct answer: A

A. growing national wealth. - Correct

Correct Answer Feedback: Correct because on a domestic level, growing national wealth and limiting income

rect Answer Feedback: Correct because the *F*-distributed test statistic is constructed by using the sum of squares ression and the sum of squares error, each adjusted for degrees of freedom. In other words, it is the ratio of two variances. *F*-distributed test statistic is *F* = MSR/MSE, where the mean square regression (MSR) is the same as the sum of squares ression and the mean square error (MSE) is the sum of squares error divided by the degrees of freedom.

Figure 42: Source equation for question 70, option A

rrect Answer Feedback: Incorrect because the *F*-distributed test statistic is *F* = MSR/MSE, where the MSR = mean are regression and MSE = mean square error. The sum of squares total (SST) does not enter into the F-statistic ulation.

Figure 43: Source equation for question 70, option B

rrect Answer Feedback: Incorrect because it describes the coefficient of determination, not the *F*-statistic. Coefficient etermination = Sum of squares regression/Sum of squares total.

swer)

Figure 44: Source equation for question 70, option C

rect Answer Feedback: Correct because DSO = 365 / accounts receivables turnover; or = 365 / 12 ≈ 30 days, where receivables turnover = revenue / average receivables; or = 2,400 / [(240 + 160) / 2] = 2,400 / 200 = 12.

Figure 45: Source equation for question 71, option A

rrect Answer Feedback: Incorrect because it is 365 divided by the ratio of average sales to average receivables; or = 365 ,400 + 2,000) / 2] / [(240 + 160) / 2] = 365 / (2,200 / 200) = 365 / 11 ≈ 33 days.

Figure 46: Source equation for question 71, option B

rrect Answer Feedback: Incorrect because it is 365 divided by the ratio of cost of sales to average accounts receivable; = 365 / [1,800 / [(240 + 160) / 2] = 365 / (1,800 / 200) = 365 / 9 ≈ 41 days.

Figure 47: Source equation for question 71, option C

B. standardization of industries. - Incorrect

Incorrect Answer Feedback: Incorrect because standardization of industries is a focus on the international, not domestic level. In this context, countries that choose to cooperate in support of their economic interest are likely focused on one of two factors: Either they would like to secure essential resources through trade, or they would like to level the global playing field for their companies or industries through standardization.

C. securing essential resources through trade. - Incorrect

Incorrect Answer Feedback: Incorrect because securing essential resources through trade is a focus on the international, not domestic level. In this context, countries that choose to cooperate in support of their economic interest are likely focused on one of two factors: Either they would like to secure essential resources through trade, or they would like to level the global playing field for their companies or industries through standardization.

Question 73

Nationalization of industries is an example of which type of geopolitical tool?

Correct answer: B

A. Financial - Incorrect

Incorrect Answer Feedback: Incorrect because financial tools are the actions used to reinforce cooperative or non-cooperative stances via financial mechanisms. Examples of cooperative financial tools include the free exchange of currencies across borders and allowing foreign investment.

B. Economic - Correct

Correct Answer Feedback: Correct because economic tools can also be non-cooperative in nature. Nationalization, the process of transferring an activity or industry from private to state control, is a non-cooperative approach to asserting economic control.

C. National security - Incorrect

Incorrect Answer Feedback: Incorrect because national security tools are those used to influence or coerce a state actor through direct or indirect impact on the country's resources, people, or borders. The most extreme example of a national security tool is that of armed conflict.

Question 74

With respect to the statement of cash flows under the indirect method, which of the following will increase net cash provided by operating activities compared to net income? An increase in:

Correct answer: B

A. inventory. - Incorrect

Incorrect Answer Feedback: Incorrect because an increase in inventory increases purchases from suppliers compared to cost of goods sold. To determine purchases from suppliers, cost of goods sold is adjusted for the change in inventory. If inventory increased during the year, then purchases during the year exceeded cost of goods sold, and vice versa.

B. accounts payable. - Correct

Correct Answer Feedback: Correct because an increase in accounts payable means that less was paid than was purchased from suppliers. If accounts payable increased during the year, then purchases on an accrual basis would be higher than they would be on a cash basis, and vice versa.

C. accounts receivable. - Incorrect

Incorrect Answer Feedback: Incorrect because an increase in accounts receivable means that less was collected than was sold. To determine the approximate cash receipts from its customers, it is necessary to adjust this revenue amount by the net change in accounts receivable for the year. If accounts receivable increase during the year, revenue on an accrual basis is higher than cash receipts from customers, and vice versa.

Question 75

A company's ability to support debt most likely improves with a(n):

Correct answer: A

A. increase in liquidity. - Correct

Correct Answer Feedback: Correct because in general, companies with higher liquidity and profitability have a greater ability to support greater use of debt in their capital structures. Increased liquidity and higher interest coverage strengthens the ability to support debt.

B. increase in leverage ratio. - Incorrect

Incorrect Answer Feedback: Incorrect because higher leverage weakens the ability to support debt. In general, companies with higher liquidity and profitability have a greater ability to support greater use of debt in their capital structures.

C. decrease in interest coverage. - Incorrect

Incorrect Answer Feedback: Incorrect because lower interest coverage weakens the ability to support debt. The larger the interest coverage ratio, the larger the financial cushion and the greater the company's ability to service its debt obligations.

Question 76

According to Modigliani-Miller propositions, if a profitable company uses more debt in the presence of taxes, firm value will:

Correct answer: C

A. decrease. - Incorrect

Incorrect Answer Feedback: Incorrect because when there are corporate taxes, a profitable company can increase its value by using debt financing.

B. remain the same. - Incorrect

Incorrect Answer Feedback: Incorrect because when there are corporate taxes, a profitable company can increase its value by using debt financing.

C. increase. - Correct

Correct Answer Feedback: Correct because when there are corporate taxes, a profitable company can increase its value by using debt financing.

Question 77

Capital restrictions most likely:

Correct answer: B

A. allow capital to earn the highest return. - Incorrect

Incorrect Answer Feedback: Incorrect because capital restrictions impede this. Economists consider free movement of financial capital to be beneficial because it allows capital to be invested where it will earn the highest return.

B. help a country exercise control over its external balance. - Correct

Correct Answer Feedback: Correct because by limiting the free flow of capital, controls provide a way to exercise control over a country's external balance whereas more traditional macro-policy tools are used to address other objectives.

C. lead to a higher rate of growth than would otherwise occur. - Incorrect

Incorrect Answer Feedback: Incorrect because capital restrictions impede this. Economists consider free movement of financial capital to be beneficial because it allows capital to be invested where it will earn the highest return. Inflows of capital also allow countries to invest in productive capacity at a rate that is higher than could be achieved with domestic savings alone, and it can enable countries to achieve a higher rate of growth.

Question 78

A test of independence is based on the data in a contingency table with 5 rows and 4 columns. Using a nonparametric test statistic that is chi-square distributed, the number of degrees of freedom is:

Correct answer: B

A. 7. - Incorrect

Incorrect Answer Feedback: Incorrect because this is the result if the candidate uses r + c – 2 = 5 + 4 – 2 = 7, instead of the correct (r – 1)(c – 1). The incorrect formula is similar to the degrees of freedom for a test of the difference in means, which is n + n – 2. 1 2

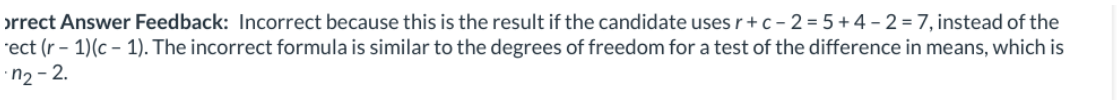


Figure 48: Source equation for question 78, option A

B. 12. - Correct

Correct Answer Feedback: Correct because for a contingency table we can perform a test of independence using a nonparametric test statistic that is chi-square distributed this test statistic has (r – 1)(c – 1) degrees of freedom, where r is the number of rows and c is the number of columns. Here, r = 5 and c = 4, so degrees of freedom = (5 – 1)(4 – 1) = 4 × 3 = 12.

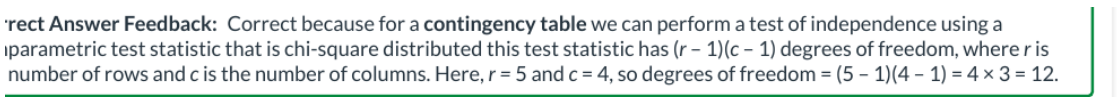


Figure 49: Source equation for question 78, option B

C. 20. - Incorrect

Incorrect Answer Feedback: Incorrect because this is the result if the candidate omits ' –1' in both factors, i.e. rc = 5 × 4 = 20, instead of the correct (r – 1)(c – 1).

Question 79

The demand curve of a perfectly competitive firm is:

Correct answer: B

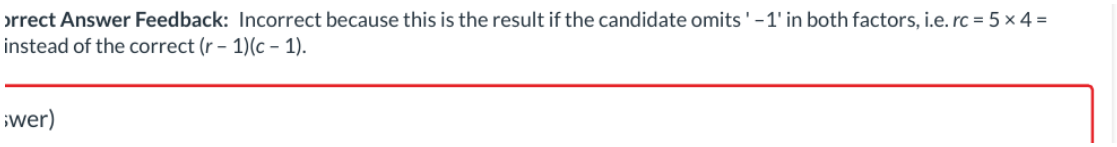


Figure 50: Source equation for question 78, option C

A. vertical. - Incorrect

Incorrect Answer Feedback: Incorrect because the demand curve that each perfectly competitive firm faces is a horizontal line at the equilibrium price, even though the demand curve for the whole market is downward sloping.

B. horizontal. - Correct

Correct Answer Feedback: Correct because the demand curve that each perfectly competitive firm faces is a horizontal line at the equilibrium price, even though the demand curve for the whole market is downward sloping.

C. downward sloping. - Incorrect

Incorrect Answer Feedback: Incorrect because the demand curve that each perfectly competitive firm faces is a horizontal line at the equilibrium price, even though the demand curve for the whole market is downward sloping.

Question 80

All else being equal, in periods of decreasing prices and constant inventory quantities, the FIFO inventory valuation method results in a higher:

Correct answer: C

A. current ratio than LIFO. - Incorrect

Incorrect Answer Feedback: Incorrect because the current ratio (Current assets / Current liabilities) will be lower under FIFO as current assets includes the ending inventory amount on the balance sheet, which will be lower under FIFO compared to LIFO during a period of decreasing prices and constant inventory quantities.

B. gross profit margin than LIFO. - Incorrect

Incorrect Answer Feedback: Incorrect because in periods of decreasing prices and constant inventory quantities, the FIFO inventory valuation method will result in higher COGS than LIFO; and thus, lower gross profit margin (i.e. Gross profit / Revenue).

C. total asset turnover than LIFO. - Correct

Correct Answer Feedback: Correct because in an environment of declining inventory unit costs and constant or increasing inventory quantities, FIFO (in comparison with weighted average cost or LIFO) will allocate a higher amount of the total cost of goods available for sale to cost of sales on the income statement and a lower amount to ending inventory on the balance sheet. Accordingly, total asset turnover (Revenue / Average total assets) will be higher when using FIFO as average total assets will be lower than under LIFO.

Question 81

The Herfindahl–Hirschman index (HHI) is more responsive than the concentration ratio to:

Correct answer: C

A. the elasticity of demand. - Incorrect

Incorrect Answer Feedback: Incorrect because the Herfindahl-Hirschman Index, HHI, is widely used by competition regulators; however, just like the concentration ratio, the HHI does not take the possibility of entry into account, nor does it consider the elasticity of demand.

B. potential entrants to the market. - Incorrect

Incorrect Answer Feedback: Incorrect because the Herfindahl-Hirschman Index, HHI, is widely used by competition regulators; however, just like the concentration ratio, the HHI does not take the possibility of entry into account, nor does it consider the elasticity of demand. C. mergers among the existing companies in the market.

C. mergers among the existing companies in the market. - Correct

Correct Answer Feedback: Correct because a disadvantage of the concentration ratio is that it tends to be unaffected by mergers among the top market incumbents. The HHI is able to measure the impact of a merger as illustrated in the following example: consider a market of eight producers, where the largest producer has 35 percent of the market, the second largest has 25 percent, the third has 20 percent, the fourth has 10 percent, and the remaining four have 2.5 percent each. If we computed the concentration ratio of the top three producers, it would be 35 + 25 + 20= 80 percent, while the concentration ratio of the top four producers would be 35 + 25 + 20 + 10 = 90 percent. If the two largest companies merged, the new concentration ratio for the top three producers would be 60 (the sum of the market shares of the merged companies) + 20 +10 = 90 percent, and the concentration ratio for the four top producers would be 92.5 percent. Therefore, this merger affects the concentration ratio very mildly, even though it creates a substantial entity that controls 60 percent of the market. By comparison, the HHI for the top three companies would be 0.352 + 0.252 + 0.202 = 0.225 before the merger, while after the merger, it would be 0.602 + 0.202 + 0.102 = 0.410, which is substantially higher.

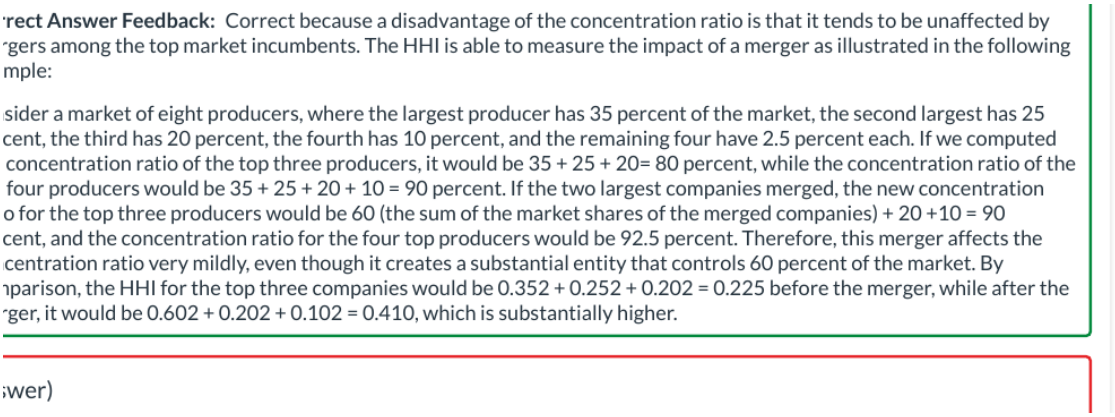


Figure 51: Source equation for question 81, option C

Question 82

A company uses both debt and equity financing as part of its capital structure. If the government reduces the corporate tax rate, the company's WACC will:

Correct answer: C

A. decrease. - Incorrect

Incorrect Answer Feedback: Incorrect because a decrease in the tax rates increases the after-tax cost of debt. WACC = w ×r × (1 – t) + w ×r. When tax rates decrease, the after-tax cost of debt increases, increasing the weighted average cost of d d e e capital.

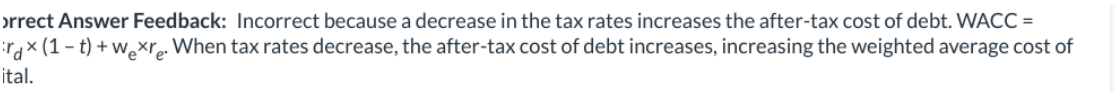


Figure 52: Source equation for question 82, option A

B. remain the same. - Incorrect

Incorrect Answer Feedback: Incorrect because a decrease in the tax rates increases the after-tax cost of debt. WACC = wd×rd × (1 – t + we×re. When tax rates decrease, the after-tax cost of debt increases, increasing the weighted average cost of capital.

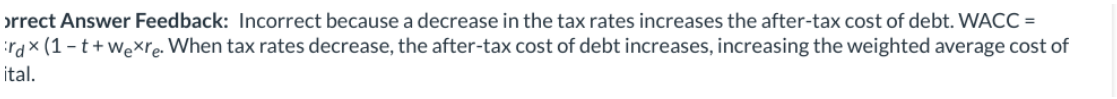


Figure 53: Source equation for question 82, option B

C. increase. - Correct

Correct Answer Feedback: Correct because one of the components of the WACC is the after-tax cost of debt, r × (1 – t). d WACC = wd×rd × (1 – t) + we×re. When tax rates decrease, the after-tax cost of debt increases, increasing the weighted average cost of capital.

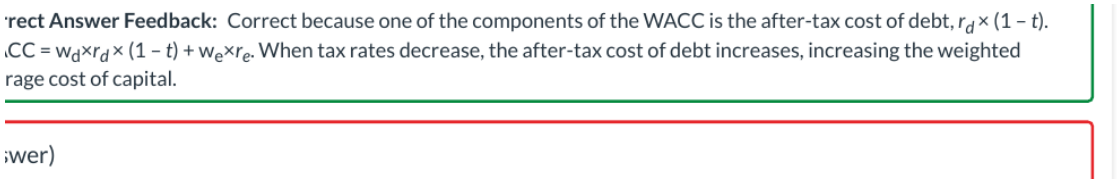


Figure 54: Source equation for question 82, option C

Question 83

Selling a product at a discount in order to build scale best describes:

Correct answer: C

A. bundling. - Incorrect

Incorrect Answer Feedback: Incorrect because bundling refers to combining multiple products or services so that customers are incentivized, or required, to buy them together. Bundling can be effective, particularly for products that are complementary, with high incremental margins and high marketing costs relative to the cost of the product itself.

B. tiered pricing. - Incorrect

Incorrect Answer Feedback: Incorrect because tiered pricing charges different prices to different buyers, most commonly based on volume purchased. Note that volume discounts achieve a similar result.

C. penetration pricing. - Correct

Correct Answer Feedback: Correct because penetration pricing is an example of discount pricing and is used when a firm willingly sacrifices margins in order to build scale and market share. Examples include Netflix (subscription video), Huawei (telecom equipment), and Amazon (tablets, e-readers, Alexa speakers).

Question 84

An investor plans to purchase an annuity for $1,500,000 in exactly 20 years to fund his retirement. The investor wants to save for that purchase by making 20 annual deposits into an account, starting today. If the account earns 4% per year, the annual deposit required to meet the investor's retirement goal is closest to:

Correct answer: A

A. $48,435. - Correct

Correct Answer Feedback: Correct because the annuity due payments, A, that are required (starting today) to achieve a future value of $1,500,000 at N = 20 are: FV = {A[(1 + r)N – 1]/r}(1 + r); $1,500,000 = {A[1.0420 – 1]/0.04}(1.04); $1,500,000 = A[30.9692]; A = $48,435.22 ≈ $48,435. Calculator solution: BGN mode; N = 20; I/Y = 4%; FV = –1,500,000; solve for PMT = 48,435.

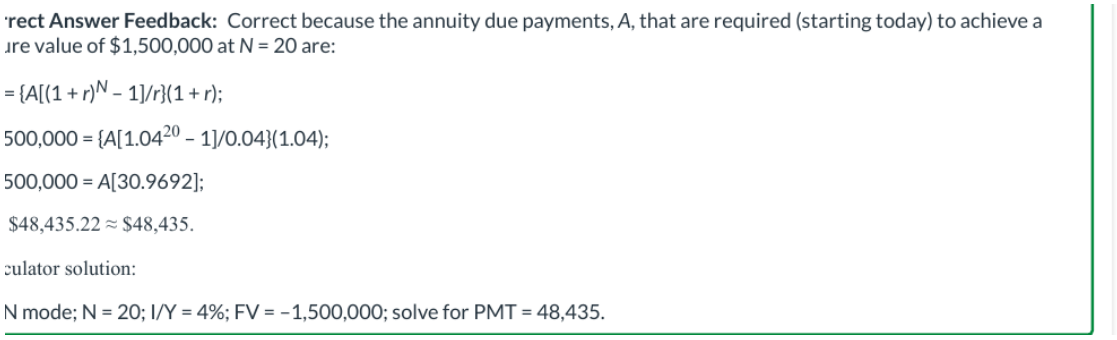


Figure 55: Source equation for question 84, option A

B. $50,373. - Incorrect

Incorrect Answer Feedback: Incorrect because it assumes there are 20 ordinary annuity payments rather than 20 annuity due payments to achieve the required future value at N = 20; FV = {A[(1 + r)N – 1]/r}; $1,500,000 = {A[1.0420 – 1]/0.04}; $1,500,000 = A[29.7781]; A = $50,372.63 ≈ $50,373. Calculator solution: END mode; N = 20; I/Y = 4%; FV = –1,500,000; solve for PMT = 50,373.

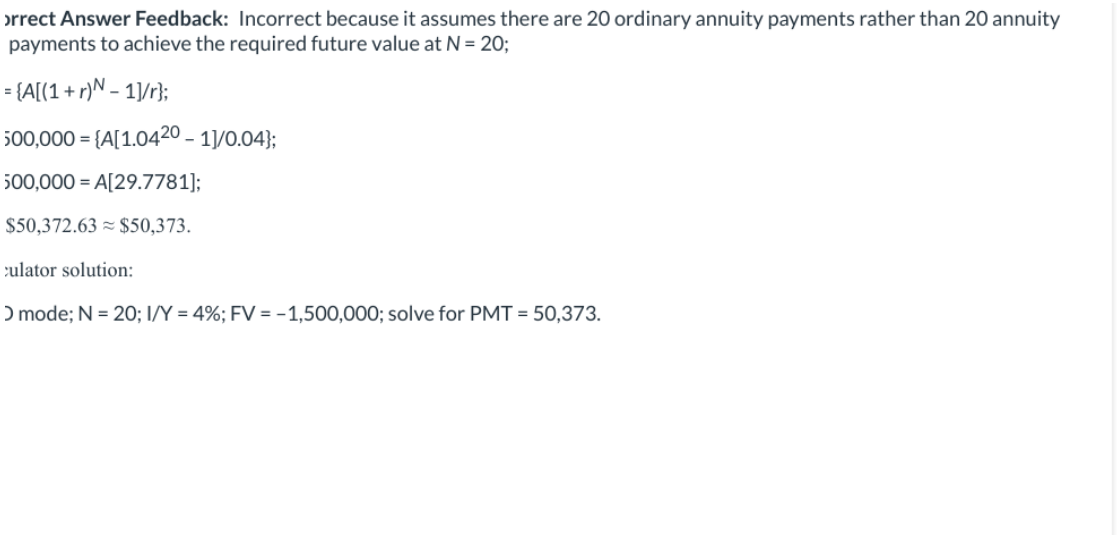


Figure 56: Source equation for question 84, option B

C. $52,388. - Incorrect

Incorrect Answer Feedback: Incorrect because it divides (rather than multiplies) the FV of an ordinary annuity by the factor (1 + r); FV = {A[(1 + r)N – 1]/r} / (1 + r); $1,500,000 = {A[1.0420 – 1]/0.04} / 1.04; $1,500,000 = A[28.6328]; A = $52,387.53 ≈ $52,388. Calculator solution: END mode; N = 20; I/Y = 4%; FV = –1,500,000; solve for PMT = 50,373; then multiply by (1 + r) to obtain an incorrect annuity due payment of $52,388.

Question 85

The liquidity premium is 2% and the real risk-free interest rate is 4%. According to economic theory, the rate that only reflects the time preferences of individuals for current versus future real consumption is:

Correct answer: B

A. 2%. - Incorrect

Incorrect Answer Feedback: Incorrect because this is the liquidity premium of 2%. It is also equal to the real risk-free rate minus the liquidity premium; 4% – 2% = 2%.

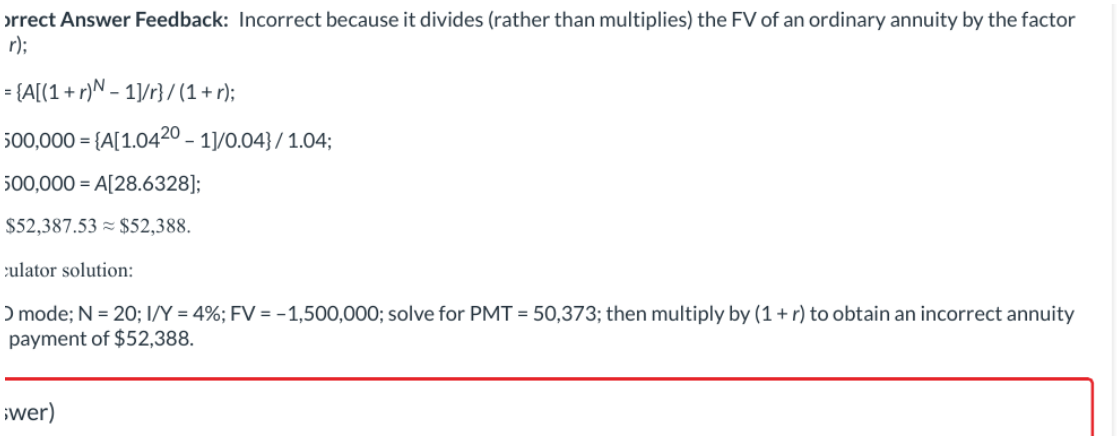


Figure 57: Source equation for question 84, option C

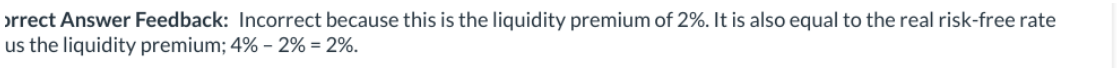


Figure 58: Source equation for question 85, option A

B. 4%. - Correct

Correct Answer Feedback: Correct because the real risk-free interest rate (here 4%) is the single-period interest rate for a completely risk-free security if no inflation were expected. In economic theory, the real risk-free rate reflects the time preferences of individuals for current versus future real consumption.

C. 6%. - Incorrect

Incorrect Answer Feedback: Incorrect because this is the sum of the liquidity premium of 2% and the real risk-free rate of 4%; 2% + 4% = 6%.

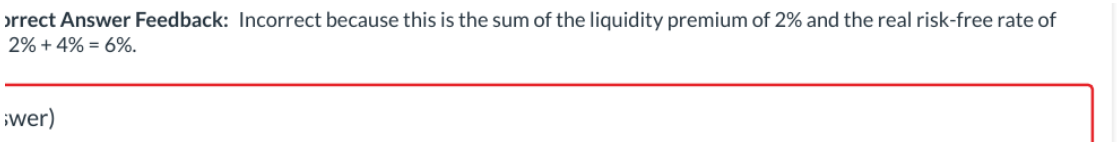


Figure 59: Source equation for question 85, option C

Question 86

To increase liquidity, a central bank most likely implements an interest rate policy that is:

Correct answer: C

A. contractionary. - Incorrect

Incorrect Answer Feedback: Incorrect because when central banks believe that economic activity is likely to lead to an increase in inflation, they might increase interest rates, thereby reducing liquidity. In these cases, market analysts describe such actions as contractionary.

B. neutral. - Incorrect

Incorrect Answer Feedback: Incorrect because the neutral rate is that rate of interest that neither spurs on nor slows down the underlying economy. As such, when policy rates are above the neutral rate, monetary policy is contractionary; when they are below the neutral rate, monetary policy is expansionary.

C. expansionary. - Correct

Correct Answer Feedback: Correct because when the economy is slowing and inflation and monetary trends are weakening, central banks may increase liquidity by cutting their target rate. In these circumstances, monetary

policy is said to be expansionary.

Question 87

A company reporting under US GAAP has production facilities with a net book value of $28.4 million. Recently, several competitors have entered its market, and the company now estimates that its production facilities will be able to generate cash flows of only $3 million per year for the next seven years. The firm has a cost of capital of 10%. Based on these recent events related to its production facilities, the company's financial statements will most likely report a:

Correct answer: B

A. $13.8 million reduction in operating cash flows. - Incorrect

Incorrect Answer Feedback: Incorrect because the impairment loss is a non-cash item and does not affect cash from operations.

B. $13.8 million impairment loss on the income statement. - Correct

Correct Answer Feedback: Correct. The company will report an impairment loss of $13.8 million on its income statement. Under US GAAP, the facilities fail the recoverability test: the net book value cannot be recovered from undiscounted cash flows (7 years × $3 = $21 < $28.4). Therefore, the asset is impaired and should be written down to its fair value. Fair Value is the present value (PV) of future benefits: (N = 7; i = 10; PMT = 3); PV = 14.6 Impairment Loss is Carrying value – Fair value = 28.4 – 14.6 = 13.8 to be reported on the income statement.

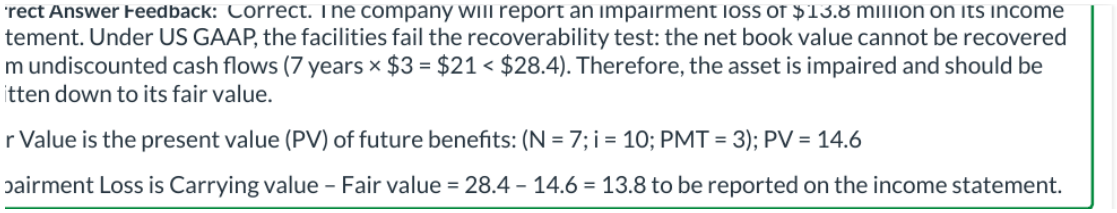


Figure 60: Source equation for question 87, option B

C. $7.4 million reduction in the balance sheet carrying amount. - Incorrect

Incorrect Answer Feedback: Incorrect because it was determined with no discounting of future benefits, resulting in an incorrect impairment charge: 28.4 – (3 × 7) = 7.4.

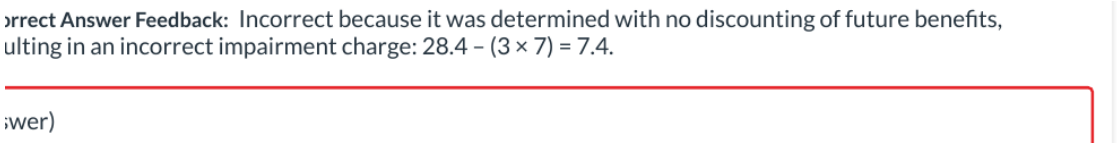


Figure 61: Source equation for question 87, option C

Question 88

An analyst gathers the following information (in € millions) about three companies operating in the same industry:

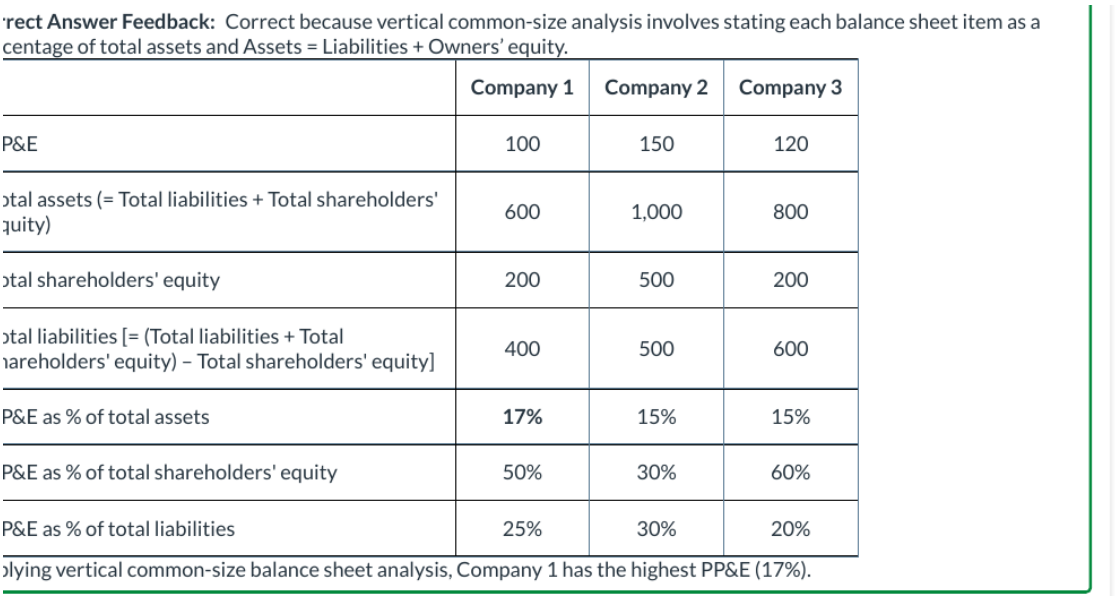
	Company 1	Company 2	Company 3
PP&E	100	150	120
Total liabilities and shareholders' equity	600	1,000	800
Total shareholders' equity	200	500	200

Applying vertical common-size balance sheet analysis, which company has the highest PP&E?

Correct answer: A

A. Company 1 - Correct

Correct Answer Feedback: Correct because vertical common-size analysis involves stating each balance sheet item as a percentage of total assets and Assets = Liabilities + Owners' equity. Company 1 Company 2 Company 3 PP&E 100 150 120 Total assets (= Total liabilities + Total shareholders' 600 1,000 800 equity) Total shareholders' equity 200 500 200 Total liabilities [= (Total liabilities + Total 400 500 600 shareholders' equity) – Total shareholders' equity] PP&E as % of total assets 17% 15% 15% PP&E as % of total shareholders' equity 50% 30% 60% PP&E as % of total liabilities 25% 30% 20% Applying vertical common-size balance sheet analysis, Company 1 has the highest PP&E (17%).



rect Answer Feedback: Correct because vertical common-size analysis involves stating each balance sheet item as a centage of total assets and Assets = Liabilities + Owners' equity.

	Company 1	Company 2	Company 3
P&E	100	150	120
otal assets (= Total liabilities + Total shareholders' quity)	600	1,000	800
otal shareholders' equity	200	500	200
otal liabilities [= (Total liabilities + Total areholders' equity) – Total shareholders' equity]	400	500	600
P&E as % of total assets	**17%**	15%	15%
P&E as % of total shareholders' equity	50%	30%	60%
P&E as % of total liabilities	25%	30%	20%

olying vertical common-size balance sheet analysis, Company 1 has the highest PP&E (17%).

Figure 62: Source equation for question 88, option A

B. Company 2 - Incorrect

Incorrect Answer Feedback: Incorrect because Company 2 has the highest PP&E in absolute terms (150 > 120 > 100) and the highest PP&E based on percentage of total liabilities (30%). Company 1 has the highest PP&E applying the vertical common-size balance sheet analysis.

C. Company 3 - Incorrect

Incorrect Answer Feedback: Incorrect because Company 3 has the highest PP&E based on percentage of total shareholders' equity (60%). Company 1 has the highest PP&E applying the vertical balance sheet common-size analysis.

Question 89

A potential benefit of effective corporate governance is:

Correct answer: B

A. an increase in creditors' required return. - Incorrect

Incorrect Answer Feedback: Incorrect because governance arrangements that seek to manage creditor conflicts of interest restrict those corporate actions that would hinder the company's ability to repay its debt and thus reduce its default risk. Default risks are also mitigated by the proper functioning of audit systems, the transparency and better reporting of earnings, and the control of information asymmetries between the company and its capital providers. Lower default risks are associated with a lower (not higher) cost of debt (i.e., creditors' required return), as creditors typically require a lower return when their funds are better secured and their rights are protected.

B. the ability to mitigate the various risks underlying conflict of interest and agency problems. - Correct

Correct Answer Feedback: Correct because effective or good governance enables a company to mitigate risks, underlying conflicts of interest, and agency problems and to maintain stable operations.

C. the opportunity for managers to manage the company with a lower risk profile relative to shareholders' risk tolerance. - Incorrect

Incorrect Answer Feedback: Incorrect because in practice, compensation is the principal tool used to align the interests of management and shareholders. While management compensation seeks to motivate managers to maximize shareholder value, manager and shareholder interests may diverge in common ways including inappropriate risk appetite. Compensation dominated by stock grants and options can motivate excessive management risk-taking, as option holders participate only in upside share price moves. Similarly, little or no use of stock grants and options in compensation plans can lead to unduly risk- averse corporate decision-making and the inability to attract talent. This misalignment may be at odds with the company's value creation objective or shareholders' desire for higher-risk, higher-reward endeavors. Since investors can hold diversified portfolios, they may have a higher risk tolerance than managers, whose reputation and time are concentrated in a single company. Therefore, effective corporate governance seeks to align interests of managers and shareholders through effective compensation to avoid excessive or too little risk-taking that is not aligned with shareholder interests.

Question 90

With respect to the cash flow statement, under US GAAP, interest paid is reported as a(n):

Correct answer: C

A. investing activity. - Incorrect

Incorrect Answer Feedback: Incorrect because under US GAAP, interest paid is not reported as an investing activity.

B. financing activity. - Incorrect

Incorrect Answer Feedback: Incorrect because under US GAAP, interest paid is not reported as a financing activity.

C. operating activity. - Correct

Correct Answer Feedback: Correct because under US GAAP, interest paid is reported as an operating activity.